COMPLIANCE MONITORING PROGRAM

This document outlines the comprehensive compliance monitoring framework established by Tam Capital. Our framework is designed to ensure adherence to a wide range of regulations and guidelines issued by various governing bodies. By implementing this program, TC demonstrates its unwavering commitment to regulatory compliance and fosters a culture of integrity and ethical conduct throughout its operations.

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Approved by: **Board of Directors**
Date: [22/04/2025] (Stamp)

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Introduction

Abbreviations

The following shows abbreviations used in this manual:

AML	Anti-Money Laundering
CMIR	Capital Market Institution Regulation
Authority	CMA
CEO	Chief Executive Officer
CMA	Capital Market Authority
CO	Compliance Officer
TC	Tam Capital Company
CTF	Counter-Financing Terrorism
KYC	Know Your Customer
MLRO	Money Laundering Reporting Officer
MAF	Manual Amendment Form
BCP	Business Continuity Planning
RM	Relationship Manager
AMD	Asset Management Department

Overview

This Policies and Procedures Manual sets out guidelines to be followed by **TC** employees relevant to the Compliance department (for the purpose of this manual, Compliance & MLRO will be referred as Compliance department). This manual details procedures for monitoring compliance and combating money laundering in the company.
The Compliance Monitoring Program (CMP) is to be read in conjunction with **TC**'s Compliance and AML & CTF Manuals.

Scope and Objective

Tam Capital Company (TC) has implemented a **comprehensive risk-based approach** framework outlined in this manual. This framework ensures TC adheres to all applicable regulations set forth by various regulatory bodies within the Kingdom, including the Capital Market Authority (CMA), Ministry of Human Resources and Social Development (HRSD), National Cybersecurity Authority (NCA), and Zakat, Tax and Customs Authority regulations. The program prioritizes adherence to CMA's CMIR Article 55, including the implementation of a compliance monitoring program, while also encompassing labour laws throughout the employee lifecycle, data protection measures aligned with NCA regulations, and accurate reporting and payment of taxes. This framework further promotes due diligence in all aspects of TC's operations, from hiring to recordkeeping, to prevent and detect misconduct. It also clearly defines compliance responsibilities for personnel involved in business development and client relations, serving as a central reference point for consistent application of policies and procedures across all TC staff.

Review and Approval of the Manual

Any significant, material changes in the operating environment or business model shall trigger an immediate review of this Manual to ensure it remains in line with the Company's strategy, practices, and business context at all times. **This Manual will be reviewed at least on a yearly basis to ensure it is aligned with the prevailing laws and regulations in the Kingdom.**

Maintenance of the Manual

The successful implementation and maintenance of this manual primarily depends on the procedures for updating the manual. Periodic reviews should be carried out to ensure that the manual is up-to-date. It is the responsibility of the **Compliance Department** to ensure that this is done.

The manual may require changes on this document of any of the following reasons:

- Introduction of new or updated regulations.
- Introduction of reporting requirements or the level of automation.
- Improvements to existing guidelines / responsibilities.
- Changes in authority structures; and
- Changes in roles, duties and descriptions

In order to ensure that the Manual referred to is the current version, the Manual shall be maintained in a central electronic repository on the Firm's network and the following guidelines for use and maintenance shall apply:

1. Any section of the Manual or the Manual in totality, if printed, will automatically assume an **"un-maintained"** status and the user of hard copy of the Manual shall assume full responsibility for resultant non-compliance to policies in the event of changes made to the version held in the repository on the server.
2. Any amendment to the Manual will be initiated through the Manual Amendment Form (MAF) enclosed as Appendix 1. The MAF will include the following particulars:
   - Name of the initiator
   - Reference of the paragraph(s)/ chapter(s) proposed to be amended.
   - Reasons for amendment
3. The initiator requesting an amendment or new policy/ procedure shall complete the necessary particulars in the MAF and forward it to the Compliance Officer who shall review the MAF and depending on the circumstances/ merit of the proposal, approve, reject or refer it to **the Compliance Officer for review and further submission to the BOD as part of the annual BOD approval process.** The Compliance Department shall ensure that approved changes are incorporated in the Manual.
4. All changes to the Manual shall be monitored and controlled through a version control numbering system. The Manual when first released in the electronic repository shall bear the version number 'V1_Month of release _Year of release'. Subsequent amendments shall be numbered 'V2_Month of amendment _Year of amendment', 'V3_Month of amendment _Year of amendment' and so on.
5. Regular back up of the server repository will be carried out. The procedures for back up of the repository shall be consistent with that of the procedure followed in respect of the firm's business data.
6. The Manual shall be stored in a separate folder within the repository. Access to the repository shall be regulated depending on the end-user needs.
7. Access to the Manual shall be restricted to "read only" for all users to prevent any unauthorized modification of the Manual.
8. The Manual shall be issued to all employees in the relevant department who are expected to study the Manual and be familiar with the policies as described herein and maintain complete confidentiality over its contents.

Implementation

The Compliance Officer is responsible for ensuring that the policies and procedures in this Manual are adhered to by the respective staff. Any exceptions to the policies and procedures shall have to be signed off by the CEO. **All material breaches** shall be Immediately reported to the **CEO** who shall advice further action.
All other concerned departments and other supporting units within the Company are also responsible for implementation of this Manual.

Version Control

Version No	Version review date	Version approved requirement	Summary of changes
Version: 1	**Issue Date:** Jan **2025**		

Framework of Compliance Monitoring Program

The Compliance Monitoring Program is a means by which TC ensures that the compliance, internal control, and operational procedures across the company's activities are adequately implemented and consistent.
The Program strives to set forth the persons, means, and methods by which TC intends to monitor the company's day-to-day activities to determine whether the conduction is compliant with all applicable rules. The Compliance Monitoring Program strives to answer the following questions with respect to the various functions performed by the monitoring team.

- Who: The identity of the principal responsible for conducting the relevant procedure;
- What: Specific procedure that is to be conducted by the supervisor;
- When: When or how often the specific procedure is to be conducted; and
- How: How will the conduct of the procedure be evidenced.

Departmental Compliance Self-Assessment program applicability and Framework

TC departments will evaluate itself to identify risk areas where it might be failing to meet compliance requirements.

key aspects:

- Identify Risks: By examining procedures and practices, the department can pinpoint areas where there's a higher chance of non-compliance.
- Evaluate Controls: The assessment looks at the effectiveness of existing controls in mitigating compliance risks.
- Improve Processes: The self-assessment can reveal areas where departmental processes need improvement to ensure consistent compliance.

This program establishes a framework for TC to actively assess and manage compliance risks within their departments.

Key aspects:

Compliance Monitoring Program:

- Based on the approved Compliance Monitoring Program, the Compliance Officer (CO) will develop a standardized Compliance Advisory & Monitoring Testing Worksheet. This worksheet will serve as a blueprint for departmental self-assessments.

Departmental Participation:

- Not all departments will directly participate in the self-assessment program.
- The **CEO**, in collaboration with department heads, will designate specific departments, officers, or divisions to hold a Compliance Advisory & Monitoring Testing program.

These designated departments will be responsible for:

- Owning and maintaining their assigned Compliance Advisory & Monitoring Testing Worksheet.
- Updating, testing, and monitoring all risk areas throughout the year based on the provided worksheet.
- Calculating a completion percentage for the worksheet.
- Utilizing the completion percentage to assess their risk and compliance results and identify areas for improvement.

Department Manager Responsibility:

- Assigned Department managers will hold the ultimate ownership, maintenance, and follow-up responsibility for their Compliance Advisory & Monitoring Testing program.

Sample Worksheet:

This Compliance Monitoring program provides **a reference worksheet (available upon request)** to assist all departments at TC in developing their departmental self-assessment plans or understanding compliance requirements.

Structure:

The worksheet will be a spreadsheet with multiple tabs (optional) depending on the department's needs. Each tab can represent a specific coverage area, department, or job function.

Content:

Each tab will be divided into sections outlining the key activities for the year related to compliance. Here's a breakdown of the information included in the worksheet:

1. Annual Planning:

- Related sections are reviewed Annually by assigned department head in January.
- outlining the key workstreams for compliance activities throughout the year. These workstreams include, but are not limited to:
  - Updating compliance manuals and monitoring programs.
  - Identifying and incorporating new rules, regulations, and circulars.
  - Addressing any changes within the current compliance function.
  - Addressing any other relevant compliance issues.

- Scheduling documentation reviews.
- Planning training and awareness programs for company staff.

2. Task Breakdown:

- Each workstream will be further broken down into specific tasks.
- Each task should be linked to a specific regulatory reference number (Ref No.) **or** rulebook for easy reference.

3. Advisory & Monitoring Themes:

- Tasks will be categorized under broader themes based on the Compliance Monitoring Program. These themes typically include:
  - Compliance Team Management
  - Risk Assessments
  - Day-to-Day Interactions (with regulators)
  - Regulatory Interaction & Reporting
  - Business & Regulatory Change
  - Policies & Procedures
  - Training & Awareness Programs
  - Testing Procedures
  - Governance Processes
  - Escalation & Reporting Procedures
  - Business Unit (BU) Key Risk Indicators (KRIs) & Surveillance

4. Task Completion Details:

- Each task will be marked as "Standard" indicating it's a recurring activity.
- Tasks will have designated fields for:
  - Procedure/Tracker Document: Specify the document used to track the task's completion.
  - Evidence of Completion: Indicate the documentation proving the task was completed (e.g., reports, training records).
  - Outstanding Tasks: Identify tasks lacking procedures or require procedure development. Set a due date for completing the procedure alongside the task.
  - Task Conducted By: Specify who is responsible for completing the task (individual or team).

Main Rule Books and Regulatory Bodies:

TC's compliance monitoring mechanism is elaborated below with compliance to:

Rulebook/Guidelines	Regulatory Body	Responsible Department
1. Capital Market Institution Regulation (CMIR)	Capital Market Authority	Compliance
2. Investment Fund Regulation (IFR)	Capital Market Authority	Asset Management
3. Instructions for Shariah Governance in Capital Market Institutions.	Capital Market Authority	Compliance / Shariah committee
4. Prudential Rules	Capital Market Authority	Finance
5. Rules On the Offer of Securities and Continuing Obligations	Capital Market Authority	Investment Banking
6. CMA Portal Requirements	Capital Market Authority	Compliance
7. Other CMA Obligations	Capital Market Authority	Compliance
8. Anti-Money laundering Rules	Ministry of Interior	Compliance
9. FATCA and CRS	Zakat, Customs, and Tax Authority	Compliance
10. Companies Law.	Ministry of Commerce	Legal
11. Labour law	Ministry of Human Resources and Social Development	HR
12. ZATCA Fund Requirements	Zakat, Customs, and Tax Authority	Asset Management
13. Environmental, Social, and Governance (ESG) Guidelines	Vision 2030 agenda	HR / Compliance

1. Capital Market Institution Regulation (CMIR)

Art. No.		Article Requirement	Responsibility	Monitoring or Reporting	Frequency / Timeline	Status
1. General Provisions						
1	**3**	***Compliance with the Regulations and Rules*** Ensure that TC complies with the applicable rules & regulations and provides the CMA with documents, information and records when required.	Board of Directors (BOD), Management, and Registered Persons	- Clear procedures for information requests from the Authority. - Regularly review internal policies and procedures for alignment with regulations. - Conduct internal audits to identify and address compliance gaps.	On-Going	
2. Authorization						
Maintenance of Authorization						
2	**9**	***Fit and Proper*** TC must continue to be fit and proper to carry out the securities business at all times. Therefore, TC must ensure that the skills, experience, competence and integrity of TC and its employees, officers and agents, are all meeting the criteria they are assessed against.	HR Department	- Background checks for new hires. - Ongoing performance reviews. - Compliance training for employees. - Monitoring of employee conduct and regulatory breaches.	During Recruitment of Employees.	
3	**10 & 11**	***Scope of Business*** ***Variation or Amendment*** TC must carry on business ensuring that it is carrying on securities business which is within its permitted business profile	Division Heads Compliance Officer / MLRO	Division Heads would ensure that the business accepted is within the profile permitted by CMA. Compliance will monitor amendments to business profile to ensure updating of	Ad-hoc basis Upon change of business profile	

		TC must apply to the CMA for approval of any proposed variation or amendment to its permitted business profile.		TC's profile and obtaining CMA approval. Monitoring adherence to permitted business profile. Portal update is required.		
4	**13**	***Controllers*** TC must notify the Authority of any changes in controllers at least 30 days in advance. Authority approval required before a person can become a controller. Potential controllers must provide information to the Authority for assessment.	BOD Legal Department	- BOD - Disclosing potential changes in controllers. - Legal Department - Assisting with notification and application processes.	As needed - When a change in controller is anticipated.	
5	**14**	***Close Links*** (TC) must adhere to all regulatory requirements set forth by the (CMA). As such, TC has established a clear process for notifying the CMA whenever a person intends to establish "close links" with the company.	Compliance Officer / MLRO	- The Compliance Officer/MLRO (Money Laundering Reporting Officer) is responsible for notifying the CMA at least 30 days in advance whenever a person intends to become a controller of TC. - Process: The Compliance Officer/MLRO gathers necessary information about the potential controller as outlined in Article 14. This information is then submitted to the CMA (Portal/email) for their review and approval. - Approval Process: TC cannot permit a person to act as a controller until the CMA has provided written approval.	As needed - When a change in Close Links are anticipated. Through Portal	
6	**15**	***Notification Requirements and Powers of Authority*** TC must comply with the notification requirements set out in Annex 3.2 of CMIR.	Compliance Officer / MLRO	The Compliance Officer / MLRO will notify the CMA, in writing, within the time limits specified in Annex 3.2 of CMIR	On-Going Through Portal	

7	**16**	***Record-keeping*** TC must comply with CMA regulations by: • Recording and retaining sufficient information about its securities business • Maintaining records for a period of ten years • Make all records available whenever needed or being requested for inspection	Division Heads Compliance Officer / MLRO	The Compliance Department is primarily responsible for overseeing and maintaining TC's record-keeping system. All TC employees involved in securities business activities are responsible for creating and retaining accurate records of their respective tasks and transactions.	Annual	
8	**17**	• ***Fees*** TC must pay such fees as the Authority may prescribe for the maintenance of the license.	Finance/ Compliance Officer / MLRO	**1. Invoice Receipt (By June):** The Compliance department (Co) will receive an invoice email from the CMA (Capital Market Authority) for the license renewal fee through Esal Saudi Payments (national e-invoicing platform). **2. Payment Initiation (By Co):** Co will request the Finance department to process the payment for the invoice. **3. License Renewal Confirmation (By July):** Upon successful payment, the CMA will send a confirmation email to Co, notifying them that the Securities Business License has been renewed. The new license period will be from July 1st to June 30th of the following year. 4. **Email Retention:** All emails related to the license renewal process (invoice, payment request, confirmation) will be saved in a designated folder managed by the Compliance department.	Once a year Upon CMA request (By June/ July)	

3. Registered Persons						
Background and Scope						
9.	**19 & 20**	***Registrable functions*** ***Performance of registrable functions*** **TC** shall ensure that only registered persons shall perform the following registered functions: - a member of the board of directors or partner; CEO or Managing member of the board of directors - CFO - Compliance Officer / MLRO - Senior executives and departments or managers - directly related to securities business the employees providing clients with securities business activities including sales representatives, investment advisors, clients' or funds' portfolios managers, corporate finance professionals and brokerage professionals as defined by the Authority	Compliance Officer / MLRO	The Compliance Officer / MLRO will ensure that only registered persons perform all the specified functions. CMA Portal is required.	Annual verification	
Registration						
10.	**21**	***Requirements for application of registration*** the requirements for TC to register a person for a specific function include: - Needing consent from the person being registered. - Using the Authority's prescribed application form. - The applicant being subject to regulations upon application submission.	Compliance Officer / MLRO	Compliance Officer / MLRO will obtain signatures of the concerned persons on their registration application prepared in the prescribed form. Compliance Officer / MLRO will ensure the applicants have appeared for the prescribed examination.	As needed	

		- Passing qualification exams set by CMA (with exemptions possible). - Paying registration fees set by the Authority.		CMA Portal is required.		
11.	**22**	***Procedure and Powers of the Authority*** **Authority's Powers:** The Authority has broad powers to assess applications for registration, including: - Conducting inquiries. - Requiring applicant appearances and explanations. - Demanding additional information. - Verifying the accuracy of submitted information. **Application Processing Timeframe:** - The Authority aims to process applications within 30 days of receiving all necessary information. **Authority's Decision Options:** - The Authority can: - Approve the application unconditionally. - Approve the application with conditions. - Defer a decision for further investigation or information. - Refuse the application with written reasons. **Registration and Notification:** - Upon approval, the Authority will register the applicant and notify the institution. - Upon rejection, the Authority will notify both the applicant and the institution in writing. **Prohibition on Functioning Before Registration:** - Applicants cannot perform their registrable function until registered by the Authority. Approval for Job Title Changes: The institution must obtain the Authority's approval for any changes to the registered person's job title.	Compliance Officer	Mitigations for Compliance: **Thorough Application Preparation:** - Gather all necessary information and documents well in advance of submission. - Ensure the accuracy and completeness of all information provided. - Maintain clear and organized records of all interactions with the Authority. **Proactive Communication:** - Maintain open and transparent communication with the Authority throughout the application process. - Respond promptly and comprehensively to all inquiries and requests for information. - Schedule and attend all meetings and interviews as required. **Internal Controls:** - Establish robust internal controls to ensure compliance with all relevant regulations and guidelines. - Implement a system for tracking and monitoring all applications for registration. - Regularly review and update internal procedures to reflect any changes in regulations or best practices. **Seek Legal and Professional Advice:** - Consult with legal and financial professionals to ensure compliance with all applicable laws and regulations.	As needed Thorough Application Preparation:	

				Seek expert guidance on any complex issues or challenges that may arise during the application process.		
4. Conduct of Business						
General Provisions						
12.	**27**	***Inducements*** TC must not: - Induce a client to engage in any transaction by offering / giving gifts or inducements; or - Accept gifts or inducements. Doing so would conflict to a material extent with any duty that it owes to a client. - Participate or offer to participate in any losses made by a client.	Division Heads Compliance Officer / MLRO	Division Heads must ensure that there is no inducement to a client to engage in any transaction by offering or giving gifts or inducements. Receipt of any gift is required to be informed to the Compliance Officer / MLRO. Compliance Function monitors violation of **gift policy** as per **Code of Conduct** and document its review.	Annual	
13.	**28**	***Special Commission Arrangements*** - Definition: Special commission arrangements involve a capital market institution receiving goods or services beyond standard trade execution services from an intermediary in exchange for commissions paid on transactions directed through that intermediary. - Conditions for Permissible Arrangements: - Best Execution: The intermediary must provide the best possible execution for the capital market institution's trades. - Client Benefit: The goods or services received by the capital market institution must demonstrably benefit its clients.	Division Heads Compliance Officer / MLRO	Establish Clear Policies and Procedures: Develop internal policies and procedures that clearly define the criteria for entering into special commission arrangements. Ensure these policies align with the requirements of Article 28 and relevant regulatory guidance. Conduct Due Diligence on Intermediaries: Thoroughly assess potential intermediaries, focusing on their ability to provide best execution and the value they offer to clients.		

		- Client Disclosure: The capital market institution must explicitly disclose to its clients in its terms of business that it may receive special commissions. Reasonable Fees: The fees or commissions paid to the service provider must be fair and justifiable considering the circumstances.		Document the due diligence process for each intermediary considered for a special commission arrangement. Prioritize Client Benefits: Ensure that the goods or services received from intermediaries directly enhance the value proposition for clients. Examples include research reports, market data, or access to exclusive trading platforms. Transparent Disclosure to Clients: Clearly disclose the possibility of receiving special commissions in client agreements and other relevant communications. Provide transparent information on the types of goods or services received and how they benefit clients. Regularly Review and Monitor Arrangements: Continuously monitor the performance of intermediaries and the value of the goods or services received. Regularly review and update policies and procedures based on market changes and regulatory developments. Maintain Adequate Records		

14.	**29**	***Confidentiality*** TC must keep information obtained from clients confidential except where: - Disclosure is required under Capital Market Law or its implementing regulations; - Client has consented to its disclosure; - Its disclosure is reasonably necessary to perform a particular service for the client; or - The information is no longer confidential.	Division Heads Compliance Officer / MLRO HR	Division Heads will report any breach of confidentiality norms to the Compliance Officer / MLRO and the latter will enquire into the matter and take appropriate action. The compliance officer is responsible to ensure that the company's **Code of conduct** is updated and implemented. In addition he has to assess the staff awareness of that manual .	Annually and Upon Partners onboarding. Annual Declarations & acknowledgment	
15.	**30**	***Chinese Walls Arrangements*** - Article mandates Chinese Walls for capital market institutions engaged in multiple activities like arranging, dealing, advising, or managing investments. These are internal policies and procedures designed to: - Prevent confidential or insider information obtained in one activity from influencing or being disclosed during other activities. - Ensure only authorized employees have access to such information.	All employees Division Heads Compliance Officer / MLRO	Given Tam's activities (arranging,, managing investments and operating funds), The **Chinese wall** will be built in various departments and divisions. All employees will adhere to **Chinese wall** arrangements and Division Heads will verify their operation on a regular basis. - Separate physically (e.g., different workspaces) teams involved in arranging/advising and managing activities whenever possible. - Monitoring employee access logs to sensitive information systems. - Transaction reviews to identify potential conflicts of interest.	ongoing	
16.	**31**	***Exclusions of liability*** TC shall not provide for any exclusion of its liability in contravention of the Capital Market Law or its Implementing Regulations.	Division Heads Compliance Officer / MLRO	All Division Heads would verify contracts framed by their divisions to identify exclusion of liability and ensure that it is not in contravention of the	ongoing	

				Capital Market Law or its Implementing Regulations. Compliance Officer / MLRO will verify this on a sample basis at regular intervals		
Securities Advertisements						
17.	**33**	***Prepared securities advertisements*** A prepared securities advertisement must comply with the requirements set out in Part 5 of CMIR after the approval of a designated officer of the company. Annex 5.1 of CMIR illustrates the contents requirements for securities advertisements. TC must maintain a complete record of each prepared securities advertisement that it has approved and confirmed compliance for it.	Division Heads who deliver prepared securities advertisement Compliance Officer / MLRO	The issuance of prepared securities advertisement will be designed in adherence to the CMIR . The Compliance Officer / MLRO will check its adherence to Annex 5.1 requirements.	Upon release of any prepared securities advertisement.	
18.	**34**	***Direct Communications*** Before making a direct communication, TC will ensure that the recipient has consented to receiving the securities advertisement or the recipient has an existing customer relationship with TC and contemplates that such direct communications will be made. TC must ensure that the individual making a direct communication on their behalf, does so in a clear, fair and not misleading way.	Division Heads (or Head of business development or RM) Compliance Officer / MLRO	Compliance Officer / MLRO will ensure that all **advertisements** are sent only to those persons who have consented to receiving such advertisements. Direct communication guidelines will be highlighted in all client facing operational guidelines. Division Heads will ensure that all direct communication is in accordance with these guidelines and any non-compliance will be reported to the Compliance Officer / MLRO	ongoing	
Accepting Clients						

19.	**36**	***Client classification*** TC must classify its clients as one of the following: 1 a retail client. 2 a qualified client; and 3 an institutional client. A client will be classified in only one of these categories	RM Compliance Officer / MLRO	RM is responsible for appropriate classification of clients. The classification of clients and its basis will be recorded in each client's record in files. Compliance Function would verify on a sample basis the classification of clients and its supporting evidence	Upon customer onboarding, and Periodically thereafter as needed based on risk updates or changes in customer circumstances.	
20.	**37 & 39**	***Money laundering and terrorism financing Know your Client*** TC, at all times must comply with all obligations under the Anti-Money Laundering Law and the rules and regulations on anti- money laundering and terrorism financing as in force in the Kingdom. KYC information must be obtained before any services being provided to customers.	Compliance Officer / MLRO	The MLRO will be responsible for ensuring entire compliance with Anti Money Laundering Law and supporting rules and regulations. CO. will report to the CEO, who will supervise his operations. A (KYC) form capturing all the details as per Annex 5.3 of CMIR will be a mandatory requirement for account opening. No account will be created in the system by the on-boarding department staff in the absence of completeness of this form. Compliance Officer will verify the details in the system and the supporting KYC form.	Upon customer onboarding, and Periodically thereafter as needed based on risk updates or changes in customer circumstances.	

21.	**38**	***Terms of Business with Clients*** TC must provide a client with terms of business in the form of an agreement before conducting any business with or for the client. It must detail the basis on which securities business is conducted and must conform to the terms of business requirements set out in Annex 5.2 of CMIR of CMA.	Compliance Officer / MLRO Division Heads	RM/ Compliance / Client relations - will ensure that an executed copy of the terms of business is obtained from the client on agreement for offering securities business services.	Upon customer onboarding and subscription agreement.	
Clients Relations						
22.	**41**	***Conflicts of interest*** TC must ensure that it safeguards at all times the interests of the customers and that no conflict of interests affects the transactions or services provided by TC. In case of any conflict in interests, this should be disclosed to customer in writing. If disclosing information would constitute provision of inside information, in this case the company is not required to disclose and shall take reasonable steps to ensure fair treatment for the customer. TC must pay to the customer the value of any loss if there is a conflict in interests unless TC has disclosed the conflict of interest or the customer has agreed in writing that TC can proceed notwithstanding the conflict.	All employees Compliance Officer / MLRO	Code of Conduct defines the guidelines for prevention of conflict of interest. Employees are obliged to disclose any conflict of interest to the Compliance Committee. If any instance of non-disclosure is found, the Compliance Officer / MLRO will take necessary disciplinary action and document the same. The compliance officer is responsible to ensure that the company's **Code of conduct** is updated and implemented. In addition, **CO has to assess the staff awareness** of that manual.	All-Personnel - Annually Annual Conflict of Interest Declarations: Require managers and board members to annually declare any potential conflicts of interest. Acknowledgment of Conflict-of-	

					Interest Policy: Have managers and board members sign an acknowledgment of their understanding of the company's conflict of interest policy.	
23.	**42**	***Understanding risk*** TC must not advise for a customer, unless it has taken reasonable steps to enable the customer to understand the nature of the risks involved in the type of transaction in which the customer would be engaging.	Division Head Compliance Officer / MLRO	RM/AMD - will ensure that all the clients are given risk awareness document. Compliance Function will verify the records on a random sampling basis and document such review.	Ongoing	
24.	**43**	***Suitability*** TC must advise for a customer only after considering the suitability of the transaction and services of the customer.	Division Heads Compliance Officer / MLRO	Before performing a any activity for clients, all clients should be given: - Understanding of risks applicable to securities business - Assessment of their risk profiles - They are also provided with guidance for suitable asset allocation.	Ongoing	
25.	**46**	***Fees and Commissions*** Fees and commissions charged by TC must be fully disclosed in advance of providing any services.	Division Heads Compliance Officer / MLRO	Fees and commissions to be charged should be mentioned in all client's agreements and shall form a part of the agreement with the client.	ongoing	

				Any revisions in this case will be notified individually to each client through a letter and an email. The Division Heads with the assistance of Compliance Officer shall ensure compliance with this.		
26.	47	***Contract Notes*** - TC, when conducting a sale or purchase of a security with or for a client, it is required to send the client a contract note immediately after the transaction is completed. - A contract note is not necessary if the capital market institution is acting as a manager, and the client has explicitly confirmed that they do not require the contract note to be provided in writing. - Contract notes must include the information specified in Annex 5.5	Operation AMD Compliance Officer	TPC must establish a system to verify that contract notes are sent as per the guidelines, or that confirmation from the client to waive the requirement is properly documented.	The contract note should be sent immediately (forthwith) after the sale or purchase transaction.	
27.	48	***Periodic Reporting*** - If TC acts as a manager for a client must send a valuation report at least every three months regarding the securities or securities-related cash balances in the client's account. - Valuation reports must include the information required in Annex 5.6	Operation AMD Compliance Officer	TC must establish a system to monitor the timely sending of valuation reports, ensuring they contain the necessary information as per Annex 5.6. - It is crucial to ensure that the reports are sent correctly and on schedule.	Valuation reports must be sent at least every three months	
Miscellaneous						
28.	**49**	***Client records*** TC maintains proper and updated records of client accounts.	Division Heads Compliance Officer / MLRO	The Division Heads will be responsible for maintenance of records. These records shall be audited by the Compliance Officer	ongoing	

				Any non- compliance will be reported to the CEO.		
29.	**50**	***Employees' personal dealings*** An employee of TC must not knowingly: - Be a party to any transaction in a security where a client of the company is a party; or - Establish a trading account at another Capital Market, except where TC does not offer the same service. TC must implement personal account procedures consistent with the provisions of Annex 5.7 of the CMIR.	All employees Compliance Officer / MLRO HR	CO implement personal account dealing procedures consistent with the provisions of Annex 5.7 Each employee must give declaration that he will adhere to these provisions, and he is required to report transactions to the company in writing. Any breach noticed by the Division Heads must be reported to Compliance Officer. Compliance will verify employees' transactions on a sample basis to identify violation of this article. In addition, compliance officer is responsible to ensure that **the company's Personal Account dealing policy is updated and implemented**. In addition, he must assess the staff awareness of that manual	Annually and Upon Partners onboarding. Annual Declarations & acknowledgment	
30.	**51**	***Recording telephone calls*** TC must record all telephone communications with client or prospective clients in relation to securities business. The fact of calls being recorded must be disclosed to the clients / prospective clients.	Divisions Heads (all licenced services) Compliance Officer / MLRO	Divisions Heads (all licenced services) will be responsible for ensuring that all telephone communications (relating to securities business) with clients / prospective clients are recorded. Whenever a call is made to any Division dealing with securities business, the Interactive Voice Response will inform	ongoing	

		TC must retain the records of telephone communications for a period of 10 years following the date of the call.		the caller that his calls are being recorded. TC will preserve the recording of calls till the expiry of **10 years** from the date of the call. If any call needs to be preserved for a longer period, it shall be marked with a red flag and the same shall not be deleted until intimation to that regard is received from the concerned Division Head. All the aforementioned procedure will be monitored by Compliance under the guidance of Compliance Officer / MLRO.		
31.	**53-D**	***d)*** The board of directors of a capital market institution must establish the governance infrastructure, which is to set the necessary systems and policies to achieve its corporate governance objectives, develop its own governance policies and procedures for overseeing those systems and policies, monitor their implementation and their effectiveness and amend them when needed	Compliance Officer / MLRO BOD	- Identify Governance Objectives - Develop Comprehensive Policies - Establish Oversight Procedures - Maintain Documentation	Annually	
32.	**53-E**	***BOD Annual Report*** 1. A board of directors of a capital market institution **must issue an annual report** that includes the operations of the capital market institution during the last financial year, and all factors affecting its business, and the report of the board of directors must include the information stipulated in Annex 6.1. 2. **Related CMA Circular**	Compliance Officer / MLRO BOD Finance Ext. Audit	- Develop a Compliance Checklist: Create a checklist based on the requirements of Article 53(e) and Appendix (6-1). This checklist should ensure all mandatory information is included in the report. - Early Drafts and Reviews: Work with departments responsible for compiling information for the report. Compliance Officer must also ensure:	Annually within three months of the end of the financial year	

		(CMA) issued a circular requiring companies to improve their compliance with disclosure rules (Annex 6.1.) in BOD's Annual Report. By circulating a checklist that should be completed and included with BOD's report starting with the 2023 annual report. **3. Shariah Governance Rulebook** *Article 8 paragraph (6):* - The Shariah Committee must prepare an annual report detailing: - The extent to which the company's products and services comply with Shariah law. - The specific Shariah standards used to make compliance decisions. This report must be **submitted** to and **approved** by the company's BOD *and disclosed publicly*	Shariah Dep.	- Annual Shariah Report Preparation - Board Approval - Public Disclosure on website.	BOD Annual report Annex 6.1. (including audited financials and Shariah report)	
33.	**CMA Circular**	***CMA Circular*** complete CMA provided checklist to improve compliance with disclosure requirements in the annual Board of Directors' report. This is according to a regulation (Article 53(e)) that mandates the report to include the institution's operations, influencing factors, and specific details outlined in Appendix (6-1). The deadline to start using the checklist is for the 2023 annual report onwards.	Compliance Officer / MLRO Board Secretary	- Use CMA provided Checklist: based on the requirements of Article 53(e) and Appendix (6-1). This checklist should ensure all mandatory information is included in the report.	Annually- within three months of the end of the financial year (Along with - BOD Annual report (including	

					audited financials	
34.	**53-F**	***Sending BOD Annual Report To CMA*** *f)* A capital market institution must send a copy of the report of the board of directors referred to in paragraph (e) of this Article to the Authority **within (3) three months** of the end of the financial year of the capital market institution, and the sent report must be in **Arabic language.**	Compliance Officer / MLRO BOD Finance Audit	- Time Management and Reporting: - Develop a Reporting Calendar - Internal Submission Deadlines - Report Language and Format - Arabic Translation: Ensure the final Board of Directors' Annual Report is translated into Arabic before submission.	Annually- within three months of the end of the financial year	
35.	**55a**	Ensure that CMI establishes systems and controls keeping in mind the following: - The nature, scale, and complexity of its business; - The diversity of its operations; - The number and value of its transactions; - The degree of risk associated with each area of its operations.	Division Head / Compliance Officer / MLRO	The Compliance Officer will review systems and controls on a yearly basis to ensure it meets **TC** 's current requirements.	Annually	
36.	**55b**	Ensure that **CMI** establishes systems and controls to cover at a minimum: - Division of responsibilities and Reporting lines. - Risk Management Policies and Systems. - AML and Terrorism Financing Procedures. - A Compliance Manual. - A Compliance Monitoring Program. - A Code of Conduct. - An Operational Procedures Manual. - BCP -Business continuity Manuals and Plans.	Division Head/ Compliance Officer/ CEO	The Compliance Officers will ensure that procedures framed are constantly reviewed to ensure that the system and controls are updated to reflect any new regulatory changes or change in business practices. The Compliance Division will be responsible for the Compliance Manual and the Compliance Monitoring Program.	Annually	

				The Compliance Division create a list of suggested changes with regard to the manuals and submit it for discussion to the CEO on an annual basis.		
37.	**56**	The Company's governing body must carry out a regular review of all the systems and controls and division of responsibilities every three years. Minutes of such a review must be maintained for ten years.	Division Head/ Compliance Officer/ CEO	will be the overall responsibility of the Compliance Officer to ensure that **TC** complies with all laws. Documents evidencing review will be maintained by Compliance Officer for a period of ten years.	At least once every three years	
38.	**57**	This article (57) outlines compliance requirements for CMI along with some mitigation strategies suggested by related articles (54-56, 64-65). • **<u>Compliance Officer:</u>** TC must appoint a senior officer as the compliance officer. • **<u>Governing Body Responsibility:</u>** **The governing body is responsible for overseeing compliance by:** - Ensuring proper policies and procedures are in place. - Providing resources to the compliance department. - Overseeing the compliance manual, monitoring program, and code of conduct. - Preparing reports for (CMA). - Establishing procedures for compliance reports from the compliance officer.	Compliance Officer / MLRO CEO Legal BOD	- The compliance officer submits periodic reports to the governing body (frequency not specified). - The governing body may need to submit reports to the CMA (frequency not specified in this article). **Governing Body:** the body of individuals which makes a person's strategic decisions, and the board of directors of a joint-stock company, or the board of managers of a limited liability company is considered its governing body.	frequency expectations (not mandated by this article).	
39.	**58**	- Depending on the nature, scale and complexity of its business, a capital market institution may establish a compliance committee, risk committee	Compliance Officer / MLRO CEO	The Board of Directors will establish a Risk Committee, and a Compliance Committee all minutes of the meeting will be retained for ten years for 10 years	Annual	

		or both to monitor its securities business and its compliance programme.	BOD			
Systems and Controls						
40.	**59 (a)**	***Outsourcing*** **TC** may delegate specific compliance or other functions to an external party by ensuring that appropriate safeguards are put in place.	Compliance Officer / MLRO CEO Legal Finance	Outsourcing will be done only after the proposal is accepted by the senior management The contract with the external party will be vetted by the Compliance Officer. Compliance Function will ensure that required formalities are completed before outsourcing like: - assessment of whether the delegate is suitable to carry out the function - clear documentation of the extent and limits of delegation - suitable arrangements to supervise the delegation - appropriate remedial action if any concern arises about the performance of the delegated functions - TC can't delegate compliance function to an external party	Annual Before entering into any outsourcing arrangement	
41.	**59 (b)**	***Outsourcing*** **TC** should exercise due diligence in the selection on the external party.	CEO / Compliance officer	CEO & Compliance officer will jointly perform necessary due diligence before engaging outsourcing the function. Necessary documents will be maintained by **TC**	Annually Before entering into any outsourcing arrangement	
42.	**59 (c)**	***Outsourcing***	CEO / Compliance officer	Compliance officer will ensure that the service provider complies with all	Annually / Quarterly	

		The outsourcing of any function by CMI will not derogate from its compliance officer's or the compliance committee's regulatory obligations.		regulatory requirement in the following frequency: IT and Risk Management - Quarterly All other services – Annually		
43.	60	TC may be required to appoint an audit committee depending on the nature, scale, and complexity of its business. CMA has the authority to mandate **the appointment of an audit committee.**	Compliance Officer / MLRO CEO Legal	- TC audit committee is responsible for meeting at least twice a year and additionally when necessary. - Minutes of all meetings must be documented and retained for ten years.	Twice a year	
44.	**62**	***Audit and inspections*** - **TC** 's internal and external auditors must review related books, accounts, and records are conducted at least every (**Three years)**. - Ensure all relevant accounts, records, and agreements are retained for the specified period (**Ten years**). - External auditor is registered with the relevant authority.	Compliance Officer / MLRO CFO / CEO	The external auditors would verify the accuracy of the financial statements on an annual basis. - The CFO would be responsible for maintaining the books of accounts at least for ten years. The Compliance Officer would verify this on an on-going basis. - Compliance Function will ensure that relevant documentary evidence of statutory audit are maintained.	Deadlines • Internal audit frequency: Every Three years • Record retention: Ten years.	
45.	**63**	***Resolution of complaints***. CMI must have a written procedures to ensure: - Timely and proper handling of complaints from clients - Appropriate remedial action in respect of complaints is promptly taken.	Compliance Officer / MLRO	The Compliance Officer/MLRO will maintain an annual log that tracks the following information: - Number of complaints received/ resolved/ pending resolution The complaints pending resolution will be reported to the CEO. Complaints request are received through the Portal.	Immediately upon occurrence CMA Portal is required.	

46.	**64**	***Money laundering and terrorism financing*** **TC** will appoint a senior employee as MLRO. The MLRO will be responsible for ensuring compliance with the requirements of the Anti-Money Laundering Law and its implementing	Compliance Officer CEO MLRO	- CEO will be assigning a MLRO responsible for the AML compliance. - MLRO will be responsible for ensuring compliance with AML.	Annually	
47.	**65**	***Employees*** **CMI** must establish: - Adequate procedures for the recruitment, training, supervision, and discipline of employees. - Recruitment procedures to recruit employees who are honest and appropriately qualified for the role. - Retain appropriate records relating to its employees in connection with their recruitment procedure, experience and qualifications for a period of ten years	HR Division Heads Compliance Officer / MLRO	- Prior to the recruitment of employees, Division Head should ensure that appropriate background checking procedures are performed. - As part of the background check, to ensure adequacy of the qualifications of the potential employee, the division head would verify the original documents of testimonials submitted. They would also undertake reference checks with the previous employers of the potential employee. - Division Heads, at periodic intervals, will execute training programs for the employees. - Division Head would be responsible for maintaining any breaches committed (with respect to Capital Markets Law) by the employees and retaining these records for ten years.	Annually.	
48.	**65-E**	Receive annual training mandated by Article 65(e) of the Capital Market Institution Regulations. This training must cover updates to relevant laws and regulations. **<u>Related requirement:</u>** Registered Persons: Meet the 16-hour training requirement set by the CMA	Compliance Officer / MLRO HR	Co conducts a mandatory annual training session to keep employees informed of regulatory updates. - Compliance Officer / MLRO will train employees Periodically (at least Annually)	Annually 16-hour	

		***CMA Training Guidelines (سياسة التعليم المهني المستمر للوظائف واجبة التسجيل).		- Compliance Officer / MLRO must ensure their registered persons complete the 16-hour training mandated by the CMA.		
49.	**66**	***Business continuity*** - CMIs are expected to have a robust Business Continuity plan (BCP) as implied by various CMA regulations (Articles 54, 55, 56, 64 & 65) - CMIs need to establish BCP arrangements considering the size and complexity of their operations. These arrangements should ensure continued functioning and regulatory compliance during disruptions.	CEO IT Compliance Officer / MLRO	The plans should be documented. Regular updates are necessary to reflect changes in the business or regulations. Periodic testing is crucial to assess the plan's effectiveness. Records related to BC arrangements must be kept for ten years after becoming obsolete or amended.	Annually	
50.	67	*Record retrieval* All records required to be maintained by CMI under the Capital Market Law or its Implementing Regulations should be available for inspection by the CMA.	Compliance Officer / MLRO	The Compliance Officer / MLRO will offer all the required assistance to the officers inspecting on behalf of CMA. He shall provide them with all records, explanations, and information asked for.	Whenever an Inspection is conducted	
51.	**78**	***Article 78: Records on Client Money Rules-* NOT APPLICABLE:** a) A capital market institution must keep records which are sufficient to demonstrate compliance with the Client Money Rules. b) A capital market institution's auditors shall Annually review the capital market institution's compliance with **the Client Money Rules** and shall report on this review as part of its audit of the capital market institution.		**NOT APPLICABLE:** Based on the license granted to TAM to engage in arrangement, , investment management, and fund operation activities, that it does not hold any client funds in any form whatsoever due to the company's lack of a custodian license. The company also confirms, in the context of its arrangement license and its ability to engage in crowdfunding activities, that it does not engage in any of these activities. Therefore,	**NOT APPLICABLE:** **Annually** Within 4 months of the end of its financial year.	

		c) A capital market institution must provide the Authority with the auditor's report mentioned in paragraph (b) of this Article **within 4 months of the end of its financial year.**		**the auditor's report requirement does not apply to the company's operations and activities.**		

2. Investment Fund Regulations

Art. No.		Article Requirement	Responsibility	Monitoring or Reporting	Frequency / Timeline	Status
PART 1: GENERAL PROVISIONS						
1	Art. 1	**Article 1: Preliminary Provisions** - a. These Regulations aim to regulate the registration, offering and management of investment funds and associated activities in the Kingdom. b. These Regulations shall have no prejudice to the provisions of the Capital Market Law and its Implementing Regulations, including, the Market Conduct Regulations, the Capital Market Intuitions Regulations, the Securities Business Regulations and the Rules for Special Purposes Entities.	Compliance Officer / MLRO Asset Manager	Establishment of clear and comprehensive regulations governing the entire lifecycle of investment funds.	**ongoing**	
2	Art. 2	**Article 2: Definitions** - **a**. Any reference to the "Capital Market Law" in these Regulations shall mean the Capital Market Law issued by Royal Decree No. M/30 dated 2/6/1424H. **b**. Expressions and terms in these Regulations have the meaning which they bear in the Capital Market Law and in the	Compliance Officer / MLRO Asset Manager		**ongoing**	

		Glossary of defined terms used in the Regulations and Rules of the Capital Market Authority, unless the context indicates otherwise.				
3	Art. 3	**Article 3: Compliance with the Regulations** - **a.** A person who intends to offer units in an investment fund in the Kingdom, must comply with these Regulations, and the provisions of the Rules for Special Purposes Entities (where applicable). **b**. A fund manager, fund operator, custodian, distributor, market maker, adviser and any member of the fund board of an investment fund in the Kingdom must comply with these Regulations, and the provisions of the Rules for Special Purposes Entities (where applicable).	Compliance Officer / MLRO Asset Manager		**ongoing**	
4	Art. 4	**Article 4: Waivers** - The Authority may waive a provision of these Regulations in whole or in part as it applies to a person either on an application from such person to whom the relevant provisions of this Article would otherwise apply or on the Authority's own initiative.	Compliance Officer / MLRO Asset Manager			
5	Art. 5	**Article 5: Fees** The Authority may impose a fee on the fund manager and the distributor as the Authority may prescribe.	Compliance Officer / MLRO Asset Manager		**ongoing**	

6	Art. 6	**Article 6: Right of Appeal** Any person subject to these Regulations may appeal to the Committee in respect of any decision or action that the Authority takes under these Regulations.	Compliance Officer / MLRO Asset Manager		**ongoing**	
PART 2: FUNDS MANAGEMENT: This Part shall apply to both public funds and private funds.						
7	Art. 8	**Article 8: Eligibility Requirements** ○ The fund manager must be a capital market institution licensed to carry out the activity of managing investments and operating funds or the activity of managing investments. ○ Where the fund manager was licensed to carry out managing investments activity, without the license to carry out operating funds activity, it must appoint a capital market institution licensed to carry out managing investments and operating funds activity to operate the investment funds under its management. ○ A capital market institution appointed under Paragraph (b) of this Article may be a custodian of the relevant investment fund. ○ A capital market institution appointed under Paragraph (b) of this Article shall be responsible for the fund's compliance with	Compliance Officer / MLRO Asset Manager	General Eligibility: Fund managers must be licensed by the capital market regulator to manage investments and operate funds. Exception for Managing Investments Only: If a fund manager is licensed for managing investments but not for operating funds, they must appoint another licensed entity to operate the fund. Custodian Appointment: The appointed entity under the exception may also act as the fund's custodian. Responsibility of Appointed Entity: The appointed entity is responsible for ensuring the fund's compliance with capital market regulations. Private Real Estate Funds: The fund manager of a private real estate investment fund must be licensed to both manage investments and operate funds.	**Continuously monitor the licenses of all fund managers and appointed entities.**	

		the provisions of the Capital Market Law and its Implementing Regulations. As an exception to the provisions of Paragraph (a) of this Article, the fund manager of the private real estate investment fund must be a capital market institution licensed to carry out the activity of managing investments and operating funds.				
8	Art. 9	Article 9: Fund Management and Duties of the Fund Manager a. The fund manager must act for the benefit of unitholders in accordance with these Regulations, the Capital Market Institutions Regulations and the Fund's Terms and Conditions. b. The fund manager shall comply with all principles and duties required under the Capital Market Institutions Regulations including the fiduciary duty towards unitholders, which includes the duty to act in the best interests of the unitholders and duty to exercise all reasonable care and skill. c. With respect to the investment funds, fund manager's responsibilities shall include: 1) Fund management. 2) Offering of fund units. 3) Ensuring the accuracy of the Fund's Terms and Conditions, and verify that the	Compliance Officer / MLRO Asset Manager	Clear and Comprehensive Fund Terms & Conditions: Develop and maintain well-defined and easily understandable fund terms and conditions. Robust Risk Management Framework: Establish a robust risk management framework, including: Regular risk assessments **(at least annually).** Procedures for identifying, evaluating, and mitigating risks. Independent risk oversight. Strong Internal Controls: Implement strong internal controls to prevent and detect fraud, negligence, and misconduct. Compliance Monitoring System: **Establish a comprehensive compliance monitoring system** to ensure adherence to regulations. Regular Communication with Unitholders: Maintain open and transparent communication	**Annual Reports:** **Prepare annual reports on the performance and quality of services provided by other parties involved in fund operations.** **Prepare annual reports on complaints received and actions taken.** **Submit the aforementioned reports to the fund's board of directors.**	

		terms and conditions are complete, clear, accurate, and not misleading. d. In relation to investment funds, the fund operator shall be responsible for operating investment funds. e. The fund manager shall have the primary responsibility for compliance with these Regulations, whether it directly performs its responsibilities and duties or delegated them to an external party under these Regulations and the Capital Market Institutions Regulations The fund manager shall be responsible toward unitholders for losses incurred by the investment fund, which are caused by, fraud, negligence, misconduct or wilful default of the fund manager. **f.** The fund manager must develop policies and procedures that detect risks effecting the fund's investments and ensure treatment of these risks as soon as possible. These policies and procedures must include **conducting risks assessment**, **at least, once a year.** g. Unless the Authority determines otherwise, the fund manager may not limit the eligibility of the investment in the fund to nationals of any state or group of states or in a particular fund. This clause does not		with unitholders through regular reports, disclosures, and investor meetings. Qualified Personnel: Employ qualified and experienced fund managers with the necessary expertise and integrity. Independent Audits: Conduct regular independent audits of fund operations and financial statements.	**Conducting risks assessment**, **at least, once a year.**	

		prevent the fund manager from rejecting investment from any person or entity that is deemed unqualified for such investment by any other relevant law. h. All disclosures by the fund manager must be complete, clear, accurate and not misleading. i. The fund manager must comply with the provisions of Annex (10) of these Regulations when applying for an approval from or notifying the Authority requests. j. The fund manager must **implement a compliance monitoring program for every fund under its management.** The fund manager must provide the Authority with the results of the implementation of the program upon its request. k. The fund manager must cooperate with all persons concerned with the performance of tasks for the fund, including the custodian and the auditor, and the fund manager must provide them with whatever necessary to perform their duties and tasks in accordance with these Regulations. l. The fund manager must prepare an annual report that includes an assessment of the performance and quality of services provided by the parties involved in				

		providing material services to the fund - including the custodian, developer and property manager (as applicable) - and the fund manager must submit the report referred to in this Paragraph to the fund's board of directors. m. The fund manager must prepare an annual report that includes all complaints and actions taken towards them. The fund manager must submit the report referred to in this Paragraph to the fund's board of directors. The fund manager must comply with the Instructions for Investment Funds Announcements				
9	Art. 10	**Article 10: Books and Records Keeping** **a.**The fund manager must maintain the books and records of all investment funds, which the fund manager manages. In addition, the fund operator must maintain the books and records related to the operation of all the funds it operates. **b.** The fund operator must maintain -at all times- records of all units issued and cancelled, and must maintain an up to date record of the balance of outstanding units for each fund under its operation. Without prejudice to Paragraph (b) of this Article, the fund manager and fund operator	Compliance Officer / MLRO Fund Operators: Asset Manager	a.The fund manager must maintain the books and records of all investment funds, which the fund manager manages. In addition, the fund operator must maintain the books and records related to the operation of all the funds it operates. b.The fund operator must maintain -at all times- records of all units issued and cancelled, and must maintain an up to date record of the balance of outstanding units for each fund under its operation. c.Without prejudice to Paragraph (b) of this Article, the fund manager and fund operator must maintain all books and records in	**Fund Operators: Must maintain records of all units issued and canceled.** **Fund Operators:** Must maintain an up-to-date record of outstanding units for each fund. **Daily reconciliation of unit balances.**	

		must maintain all books and records in accordance with these Regulations for a period of (10) years unless the Authority determines otherwise. The fund manager and fund operator must maintain copies of all books and records required pursuant to this Article for a longer period in the event such books and records relate to any litigation or claim (including any pending or threatened litigation) or any on-going investigations procedures, the fund manager and fund operator must maintain such books and records until the closure of that litigation, claim or on-going investigation procedures.		accordance with these Regulations for a period of (10) years unless the Authority determines otherwise. The fund manager and fund operator must maintain copies of all books and records required pursuant to this Article for a longer period in the event such books and records relate to any litigation or claim (including any pending or threatened litigation) or any on-going investigations procedures, the fund manager and fund operator must maintain such books and records until the closure of that litigation, claim or on-going investigation procedures.	**Record Retention:** **General retention period:** 10 years, unless the authority determines otherwise. **Extended retention:** Required for records related to litigation, claims, or investigations until their closure.	
10	Art. 11	Article 11: Financial Statements a. The financial statements for an investment fund must be prepared in Arabic, and in a semi-annual basis at least for public fund and private real estate fund, and must be reviewed in accordance with the accounting standards approved by the Saudi Organisation of Certified Public Accountants. Additional copies may be prepared in other languages, and in the event of any conflict between those copies, the Arabic text shall prevail. b. The annual financial statements for an investment fund must be audited in accordance with the accounting standards	Compliance Officer / MLRO Asset Manager	Language and Frequency: Financial statements must be prepared in Arabic. Public and private real estate funds are required to prepare semi-annual financial statements. All funds must prepare annual financial statements. Accounting Standards: Financial statements must comply with the standards set by the Saudi Organization of Certified Public Accountants (SOCPA). Review and Audit: Semi-annual statements must be reviewed. Annual statements must be audited by an independent auditor.	Requirements: Language: Financial statements must be prepared in **Arabic**. **Frequency:** **Semi-annual:** At least for public funds and private real estate funds. **Annual**: For all investment funds	

		approved by the Saudi Organisation of Certified Public Accountants, and the auditor, through reviewing the annual financial statements and based on the information provided to it, must include in its report what may come to its attention of breaches to the provisions of the Investment Funds Regulations and the Fund's Terms and Conditions. Copies of all financial statements required by Paragraphs (a) and (b) of this Article must be included in the fund reports prepared by the fund manager pursuant to Article (76) of these Regulations in the case of public funds and pursuant to Article (93) of these Regulations in the case of private funds.		Auditor's Responsibilities: Auditors must identify and report any potential breaches of the Investment Funds Regulations or the fund's terms and conditions. Fund Reporting: Financial statements must be included in the fund reports prepared by the fund manager.		
11	Art. 12	**Article 12: Register of Unitholders** a. The fund operator must establish a register of unitholders and must maintain it in the Kingdom. b. The register shall be conclusive evidence as to the persons entitled to units entered on the register. c. The fund operator must maintain at least the following information in the register: 1) The name, address and contact numbers of each unitholder; 2) The national identification number, residence number (Iqama), passport number	Compliance Officer / MLRO Asset Manager	- **Registration Details:** The register must include essential information about each unitholder, such as name, address, contact details, nationality, identification documents, and transaction history. - Unit Ownership: The register must accurately reflect the number of units held by each unitholder, including any fractions. - Unit Restrictions: Any restrictions or rights attached to units owned by a specific unitholder must also be recorded. - Accessibility: The register must be made available for inspection by the relevant		

		or commercial registration number of the unitholder when applicable, or any other identification as determined by the Authority; 3) The nationality of the unitholder; 4) The date on which the unitholder was registered in the register; 5) Details of all transactions in relation to units conducted by each unitholder; and 6) The current balance of the number of units (including fractions of a unit) held by each unitholder. 7) Any restriction or right attached to units owned by the unitholder. d. The register of unitholders must be made available for inspection by the Authority at its request. A summary must be provided by the fund manager to any unitholder free of charge upon request, such summary must show all the information that is relevant to the requesting unitholder only. e. The fund operator must update the register of unitholders immediately to reflect changes to information referred to in Paragraph (c) of this Article. The traded funds shall be exempted from the provisions of this Article.		authority upon request. Unitholders are entitled to a free summary of their own information. Updates: The register must be promptly updated to reflect any changes in unitholder information.		
12	Art. 13	Article 13: Conflicts of Interest a) Without prejudice to Paragraphs (b), (c), and (d) of this Article, the fund manager must treat any conflicts of interest in	Compliance Officer / MLRO	- General Compliance: Fund managers must adhere to the conflict-of-interest provisions outlined in the Capital Market Institutions Regulations.	**Only If a potential conflict of interest exists**	

		accordance with the provisions of the Capital Market Institutions Regulations. b) If the fund manager (or the fund sub-manager) does not carry out a prior (where possible) or immediate disclosure of the conflict of interest to the relevant fund board, and obtain the fund board's approval on that action, the fund manager or the fund sub-manager may not engage in any action that involves: 1) A material conflict between the interests of the fund manager or fund sub-manager and the interests of any investment fund it manages; or 2) A conflict between the interests of any investment fund it manages and another investment fund or another client account. c) The fund manager (and fund sub-manager), must ensure their affiliates do not engage in any action that involves any conflict of interest as described in Paragraph (b) of this Article. The fund manager of a public investment must disclose immediately, on its website and the Exchange's website or any other website available to the public according to the controls set out by the Authority (where applicable), and on the public fund's annual reports that has been prepared by the fund manager in accordance to Article (76) of these Regulations.	Asset Manager	- Disclosure and Approval: Prior to engaging in any action that involves a material conflict of interest, the fund manager must disclose the conflict to the relevant fund board and obtain their approval. - Affiliate Conduct: Fund managers must ensure their affiliates do not engage in actions that create conflicts of interest as described in the article. Public Disclosure: For public investment funds, immediate disclosure of conflicts of interest is required on the fund manager's website, the Exchange's website, and in the fund's annual reports.		

13	Art. 14	Article 14: Investment Policies and Practices The investment decisions of the fund manager must conform to well and prudent investment practice in relation to the investment objectives of the fund as set out in the Terms and Conditions, including using its best efforts to ensure: 1)in the case of an open-ended fund, that the investment fund is sufficiently liquid in order to meet anticipated redemption requests; 2)that the investment fund does not unduly concentrate investments in a certain security or securities, in a country, geographic area, industry or sector, except to the extent any such concentration is disclosed in the Fund's Terms and Conditions; and that the investments of the fund provide a prudent spread of risk whilst having due regard to the investment objectives, investment policies and Terms and Conditions of the relevant investment fund.	Compliance Officer / MLRO Asset Manager	**Regular Portfolio Reviews:** Regular and thorough portfolio reviews are essential to monitor risk exposures, assess performance against benchmarks, and ensure adherence to investment guidelines. **Stress Testing:** Conducting stress tests on the portfolio can help identify potential vulnerabilities and assess the fund's resilience to adverse market conditions. **Liquidity Monitoring:** Close monitoring of the fund's liquidity position is critical, especially for open-ended funds. This involves regular assessment of anticipated redemptions and adjustments to the portfolio as needed. Independent Risk Management: Consider establishing an **independent risk management** function to provide an objective assessment of the fund's risk profile	**When initially designing an investment fund**	
14	Art. 15	Article 15: Fund's Subscriptions a. A fund manager and any of its affiliates may only subscribe, for their own accounts, in units in an investment fund which is managed by the fund manager if the intention of such subscription is disclosed in	Compliance Officer / MLRO Asset Manager	**Transparency:** Clear disclosure of fund manager subscriptions in the Fund's Terms and Conditions and public reporting of investments enhance transparency and investor confidence. **Fair Treatment:**	**Frequency of Reference:** **Before each subscription by the fund manager or its affiliates:** To ensure compliance with the	

		the Fund's Terms and Conditions, if the following requirements are satisfied: 1) the terms of the fund manager's (or its affiliates') subscriptions, and the rights attached to the units which they hold must be no more favourable than those of other unitholders of the same class; 2) the fund manager and its affiliates shall not be entitled to vote on the units which they hold; and 3) the public fund manager shall disclose at the end of each quarter details of its investments in the fund's units on the fund manager's website and the Exchange's website, or any other website available to the public according to the controls set out by the Authority (where applicable), as well as in the reports that the fund manager prepares in accordance with Article (76) of these Regulations. b. A unitholder whose subscription in a closed-ended fund was made in kind may reduce its ownership to a minimum of (50%) of the number of units issued for its in kind contribution after one year from the date of subscription in the fund or the date of operation of the fund, whichever is further, unless the relevant Fund's Terms and Conditions state a longer period. c. Without prejudice to the restrictions		Restrictions on preferential treatment for the fund manager ensure fair treatment for all unitholders. **Limited Voting Rights:** Preventing voting rights on self-subscribed units mitigates potential conflicts of interest.	requirements for internal subscriptions. **Quarterly:** For public fund managers to disclose their investments in the fund's units. **When evaluating unitholder requests to reduce ownership in closed-ended funds**: To determine if the request is permissible based on the article's provisions and the Fund's Terms and Conditions.	

		stipulated in Article (47) of these Regulations, a closed-ended investment traded fund shall be excluded from the provisions of Paragraph (b) of this Article.				
15	Art. 16	Article 16: Special Commission Arrangements a. Any special commission arrangement entered into by a fund manager is subject to the Capital Market Institutions Regulations and must be disclosed in the Fund's Terms and Conditions. b. Goods and services received by a fund manager under a special commission arrangement must be restricted to those that are related to the execution of transactions on behalf of an investment fund or comprise the provision of research for the benefit of relevant investment fund. c. The fund manager may not obtain direct sums of money under special commission or any other arrangements.	Compliance Officer / MLRO Asset Manager		whenever considering or engaging in any type of special commission arrangement	
16	Art. 17	Article 17: Delegation by the Fund Manager a. A fund manager may, in respect to any investment fund, which the fund manager manages, delegate one or more third parties or affiliates as a fund sub-manager. The remuneration of any fund sub-manager must be paid by the fund manager out of its own resources. b. With exception for cases described in Paragraph (c) of this Article, Any fund sub-	Compliance Officer / MLRO Asset Manager	Sub-Managers: Fund managers can delegate investment management responsibilities to sub-managers. **Domestic Sub-Managers:** Must be licensed capital market institutions. **Foreign Sub-Managers:** Allowed for foreign investments, subject to equivalent regulatory standards in their jurisdiction.	**Appointment of Sub-Managers:** • When: Whenever the fund manager intends to delegate investment management responsibilities to	

		manager delegated pursuant to Paragraph (a) of this Article must be delegated pursuant to a contract in writing and must be a capital market institution licensed to carry out the activity of managing investments and operating funds or the activity of managing investments. c. A fund manager may delegate a fund sub-manager operating in a jurisdiction other than the Kingdom to manage foreign investments of the investment fund, however the submanager shall be established, authorised and supervised in a jurisdiction that employs regulatory standards and requirements at least equivalent to those of the Authority, and must be delegated pursuant to a contract in writing. d. The Authority shall have the discretion to assess whether the jurisdiction in which any fund sub-manager operates has regulatory standards and requirements at least equivalent to those of the Authority. e. The fund manager may delegate a third party or more, or any of its affiliate to work as distributor to units of an investment fund managed by the fund manager. The distributor's remuneration must be paid from the fund manager's own resources.		**Distributors**: Fund managers can delegate distribution of fund units. **Domestic Distributors:** Limited to licensed capital market institutions or local banks. **Distribution Channels:** • For publicly offered funds, distribution through the distributor's website is mandated, with features for online document completion. **Fund Operations:** Fund managers can delegate administrative and operational tasks. Domestic Operators: Must be licensed capital market institutions. Foreign Operators: Allowed for foreign investments, subject to equivalent regulatory standards in their jurisdiction. Key Restrictions: Sub-Manager Remuneration: Paid by the fund manager, not directly by the fund. Distributor Remuneration: Paid by the fund manager, not directly by the fund. Jurisdictional Equivalence: For foreign sub-managers and operators, the Authority assesses	another entity (sub-manager). This could occur: • Initially: When establishing the fund and determining its investment strategy. • Subsequently: When adjusting the investment strategy, changing market conditions, or seeking specialized expertise. • Frequency: This could be a one-time decision or may involve periodic reviews and potential changes to sub-manager appointments.	

		f. The distributor that has been delegated in the Kingdom pursuant to Paragraph (e) of this Article, must be one of the following: 1. a capital market institution licensed to carry out dealing activity. 2. a capital market institution licensed to carry out advising activity. 3. a local bank. g. The delegation referenced in Paragraph (e) of this Article must be made pursuant to a contract in writing, and where the distributor is a local bank it **must include the following controls at minimum:** 1. That the units of the publicly offered investment funds shall be distributed through the distributer's website only. 2. The website of the delegated distributor provides the ability to fill and sign the required documents, **including**: a. The fund manager's investment account opening agreement. b. The "Know Your Client" form provided in the Capital Market Institutions Regulations. c. The fund's subscription form, and the Fund's Terms and Conditions in which a client wishes to participate.		the equivalence of regulatory standards in their jurisdictions. **Key Responsibilities:** Fund Manager: Remains ultimately responsible for compliance with all applicable laws and regulations, even when delegating functions. Fund Manager: Responsible for due diligence on clients, even when relying on the distributor for KYC procedures.	**Appointment of Distributors:** • When: Whenever the fund manager seeks to distribute fund units to investors. This is typically an ongoing need. • Frequency: Initial appointment of distributors. • Periodic reviews and potential changes to distributor relationships based on performance, market conditions, and regulatory changes. **Delegation of Fund Operations:** • When: Whenever the fund manager intends to outsource administrative or	

		h. Where the fund manager has delegated the distributor under Paragraph (e) of this Article, the fund manager is responsible for complying with the Capital Market Law and its Implementing Regulations, and the Anti-Money Laundering Law, and its Implementing Regulations. The fund manager may rely on the delegated distributor to take due diligence measures towards the client according to the relevant provisions contained in the AntiMoney Laundering Law and its Implementing Regulations. i. The fund manager may delegate a third party or more, to carry out the fund operations, including administrative services for the fund. j. With exception for cases described in Paragraph (k) of this Article, any third party delegated pursuant to Paragraph (i) of this Article must be a capital market institution licensed to carry out the activity of managing investments and operating funds , and must be delegated pursuant to a written contract. k. A fund manager may delegate a third party operating in a jurisdiction other than the Kingdom to carry out the fund operations in relation to investment fund's foreign investments. The third party must be			operational tasks related to the fund. This could include: • Initially: When setting up the fund's infrastructure. • Subsequently: As operational needs evolve or to improve efficiency. Frequency: This could be an initial decision or may involve ongoing reviews and potential changes to service providers.	

		established, authorised and supervised in a jurisdiction that employs regulatory standards and requirements at least equivalent to those of the Authority, and must be delegated pursuant to a contract in writing. The Authority shall have the discretion to assess whether the jurisdiction in which any third party, which delegated to carries out the operations of the fund outside the Kingdom, it has regulatory standards and requirements at least equivalent to those of the Authority.				
17	Art. 18	Article 18: Appointment of Advisors a. The fund manager may, in respect to any investment fund which the fund manager manages, appoint a person to provide advice. The remuneration of any such person must be paid from the fund manager's own resources. b. With exception for cases described in Paragraph (c) of this Article, any person appointed by the fund manager as an adviser, must be a capital market institution licensed to carry out the advising activity, and must be appointed pursuant to a written contract. c. A fund manager may appoint a person in a jurisdiction other than the Kingdom to provide advice in relation to investment	Compliance Officer / MLRO Asset Manager	Appointment of Advisors **Advisor Appointment:** - Fund managers can appoint advisors to provide guidance on investment decisions. **Domestic Advisors:** Must be licensed capital market institutions for advising activities. **Foreign Advisors:** - Allowed for foreign investments, subject to their jurisdiction having equivalent regulatory standards. **Advisor Remuneration:** Paid by the fund manager, not directly by the fund. **Jurisdictional Equivalence:** For foreign advisors, the Saudi Capital Market Authority (CMA) assesses the equivalence of regulatory standards in their jurisdictions.	**Initial Fund Setup:** When establishing a new fund, the fund manager may need to appoint advisors for various aspects, such as legal, regulatory, or tax advice. **Investment Strategy Changes:** If the fund's investment strategy changes significantly, the fund manager may need to appoint advisors with	

		fund's foreign investments. The person that has been appointed pursuant to this Paragraph must be established, authorised and supervised in a jurisdiction that employs regulatory standards and requirements at least equivalent to those of the Authority, and must be delegated pursuant to a contract in writing. d. The Authority shall have the discretion to assess whether the jurisdiction in which any adviser operates has regulatory standards and requirements at least equivalent to those of the Authority.			specialized expertise in the new areas. **Complex Transactions:** When engaging in complex transactions, such as mergers and acquisitions or derivative investments, the fund manager may seek advice from specialized advisors.	
18	Art. 19	Article 19: Services, Commissions and Management Fees Any fees, commissions or charges levied on the fund for its management must be on arm's length terms (and at least equivalent to the terms entered into by persons dealing independently) and in no event shall such charges exceed the limit specified in the Fund's Terms and Conditions.	Compliance Officer / MLRO Asset Manager			
19	Art. 20	Circumstances under which the Saudi Capital Market Authority (CMA) can remove a fund manager from managing an investment fund and the procedures for appointing a replacement.	Compliance Officer / MLRO Asset Manager	Circumstances for Removal: **Fund Manager Cessation:** If the fund manager ceases to operate without notifying the CMA. **License Cancellation:** If the CMA cancels or suspends the fund manager's license.	Cessation of Operations: If the fund manager ceases to operate without notifying the CMA. License Issues: If the CMA cancels,	

		Circumstances for Removal: Fund Manager Cessation: If the fund manager stops managing investments without notifying the CMA. License Cancellation: If the CMA cancels or suspends the fund manager's license. Fund Manager Request: If the fund manager requests the cancellation of its license. Material Non-Compliance: If the fund manager fails to comply with the Capital Market Law or its regulations. Portfolio Manager Incapacity: If the portfolio manager managing the fund's assets dies, becomes incapacitated, or resigns and no suitable replacement is available within the fund manager. Unitholder Resolution: If unitholders of a closed-end fund pass a special resolution requesting the removal of the fund manager. Other Material Events: Any other event deemed by the CMA to be of sufficient materiality. Removal Procedures:		**Fund Manager Request:** If the fund manager requests the cancellation of its license. **Material Non-Compliance:** If the fund manager fails to comply with the Capital Market Law or its regulations. **Portfolio Manager Incapacity:** If the portfolio manager managing the fund's assets dies, becomes incapacitated, or resigns and no suitable replacement is available within the fund manager. **Unitholder Resolution:** If unitholders of a closed-end fund pass a special resolution requesting the removal of the fund manager. **Other Material Events:** Any other event deemed by the CMA to be of sufficient materiality. Notification: The fund manager must notify the CMA within 2 days of the occurrence of certain events (e.g., portfolio manager incapacity). **Unitholder Meeting**: The CMA directs the removed fund manager to convene a unitholder meeting to appoint a custodian or other party to find a replacement fund manager. **Replacement Fund Manager Search:** The appointed party negotiates with potential replacements within a specified timeframe.	withdraws, or suspends the fund manager's license. Fund Manager Request: If the fund manager requests the cancellation of its license. Non-Compliance: If the fund manager fails to comply with the Capital Market Law or its regulations.	

		Unitholder Meeting: The CMA directs the removed fund manager to convene a unitholder meeting. Appointment of Representative: Unitholders appoint a custodian or other party to find a replacement fund manager. Replacement Fund Manager Search: The appointed party negotiates with potential replacements. Unitholder Approval: The replacement fund manager must be approved by the unitholders. Transfer of Responsibilities: The removed fund manager must cooperate with the replacement fund manager in the transfer of responsibilities. Liquidation: If a replacement fund manager is not found within the specified timeframe, unitholders can request the liquidation of the fund. Key Points: The CMA has broad powers to remove fund managers under specific circumstances. Unitholders play a crucial role in the appointment of a replacement fund manager.		**Unitholder Approval:** The replacement fund manager must be approved by the unitholders. **Transfer of Responsibilities**: The removed fund manager must cooperate with the replacement fund manager in the transfer of responsibilities. **Liquidation**: If a replacement fund manager is not found within the specified timeframe, unitholders can request the liquidation of the fund.		

		The removed fund manager is obligated to cooperate in the transition process.				
20	Art. 21	Article 21: Investment Decisions If a fund manager is removed pursuant to Article (20) of these Regulations, it must cease to make any investment decisions in relation to the relevant fund as soon as the replacement fund manager is appointed or at any earlier time determined by the Authority		Upon the appointment of a replacement fund manager, the existing fund manager must immediately cease making any investment decisions regarding the fund. The Authority may also direct the existing fund manager to cease investment decisions at any earlier time it deems appropriate.		
21	Art. 22	Article 22: Termination and Liquidation of the Fund Procedures for terminating and liquidating investment funds in Saudi Arabia: **Termination Provisions:** - Fund Managers must define clear termination provisions within the fund's Terms and Conditions. - Funds are typically designed to terminate at the end of their specified term. - The fund manager may extend the term under specific circumstances. **Termination Process:** - A detailed termination plan must be prepared and approved. - The fund manager must notify the CMA and unitholders of the termination plan. - The fund manager must adhere to the approved termination plan.		**Termination Provisions:** - Fund managers must specify termination provisions in the fund's Terms and Conditions. - Funds must be terminated and assets distributed to unitholders by the end of the fund's term. - The fund manager may extend the term under certain circumstances. **Termination Process:** - Fund managers must prepare and obtain approval for a termination plan. - The fund manager must notify the CMA and unitholders of the termination plan. - The fund manager must comply with the approved termination plan. **Liquidation Process:**	Throughout the Fund's Life Cycle: Fund Establishment: The fund manager needs to define clear termination provisions in the fund's Terms and Conditions. During the Fund's Life: If a liquidation event occurs as defined in the fund's documentation. If the fund manager anticipates the need	

		Liquidation Process: - If assets are not sold by the end of the term, the fund must be liquidated. - A separate liquidation plan must be prepared and approved. - The fund manager must adhere to the approved liquidation plan. **Unitholder Treatment:** - All unitholders must be treated equally throughout the process. - Unitholder funds must be distributed promptly. **Notifications:** - The fund manager must notify the CMA and unitholders of various events related to termination and liquidation. - Traded funds may use website announcements instead of written notices to all unitholders. **Fund Manager Removal:** - Unitholders can vote to remove the fund manager from the liquidation process and appoint a replacement. - The removed fund manager must cooperate with the replacement liquidator. **Key Points:** - Orderly termination and liquidation are crucial. - Compliance with the fund's Terms and Conditions and regulations is essential.		- If assets are not sold by the end of the term, the fund manager must liquidate assets within 6 months. - Fund managers must prepare and obtain approval for a liquidation plan. - The fund manager must comply with the approved liquidation plan. **Unitholder Treatment:** - All unitholders must be treated equally. - Unitholder dues must be distributed promptly. **Notifications:** - The fund manager must notify the CMA and unitholders of various events related to termination and liquidation. - Traded funds may use website announcements instead of written notices to all unitholders. **Fund Manager Removal:** - Unitholders can pass a special resolution to remove the fund manager from the liquidation process and appoint a replacement. The removed fund manager must cooperate with the replacement liquidator.	to extend the fund's term. If unitholders initiate a vote to remove the fund manager. At the End of the Fund's Term: To initiate the orderly liquidation of the fund's assets and distribute proceeds to unitholders. During Liquidation: To manage the liquidation process, comply with regulations, and communicate with unitholders and the CMA.	

		Unitholders have rights and protections throughout the process.				
PART 5: PRIVATE FUNDS						
22	78	Submitting a Notice to the Authority for the Offer of Units in a Private Fund **Requirement:** A licensed capital market institution can offer private fund units. The offer must be submitted as a private placement following Article 80. It must comply with the private placement requirements outlined in Article 81.	Compliance Officer / MLRO Asset Manager	Compliance Ensure to notify the CMA in accordance with Annex (6) of the IFR and review all requirements mentioned in Article (81) pertaining to the same regulation.	Upon occurrence – whenever Submitting a new fund request	
23	80	**Private Placement and Investor Eligibility** - Requirement: - An offer is considered a private placement if targeting institutional and qualified investors. - The maximum investment per retail investor is 200,000 Saudi Riyals (or equivalent). - The CMA may approve other offers as private placements with limitations. - Private real estate funds must be closed-ended.	Compliance Officer / MLRO Asset Manager	- Clearly identify the target investor category in offering documents. - Set investment limits for retail investors if applicable. - Closed-End Real Estate Funds: Private real estate funds must be closed-ended, meaning investors cannot easily buy or sell their units after the initial offering.	ongoing	
24	81	Private Placement Requirements Article outlines the requirements for capital market institutions conducting private placements of units in a private fund. It details the information and documents that must be submitted to the Authority beforehand and the	Compliance Officer / MLRO	- Prepare all required documents well in advance (notification, declaration, terms and conditions, offering documents, organizational structure details, compliance program) - **at least 15 days** before the proposed offering date.	Upon occurrence – whenever Submitting a new fund request	

		potential actions the Authority can take if they deem the offering unsuitable.	Asset Manager	- Ensure the fund manager has the capability to handle the offering and that the offering complies with the Capital Market Law and its regulations. - Be prepared to answer any inquiries from the Authority and provide additional information if requested. - If the Authority issues a "notification" prohibiting the offer, adhere to the decision and refrain from making the offering. - Upon completion of the offering period, provide the Authority with the results within 10 days. - If the offering fails to complete by the proposed end date, notify the Authority within 10 days and return full subscription monies to unitholders.		
25	**82**	This article defines how a private fund is established and the contractual relationship between the fund manager and potential unitholders. It specifies the content of the fund's Terms and Conditions.	Compliance Officer / MLRO Asset Manager	- Establish the private fund through signed Terms and Conditions between the fund manager and the first potential unitholders. - Ensure the Terms and Conditions comply with the regulations and include all the information required in Annex 11. - Consider the Terms and Conditions as fulfilling the terms of business requirements outlined in the Capital Market Institutions Regulations.	Upon occurrence – whenever Submitting a new fund request	
26	**83**	Units Article defines ownership of units, unitholder rights, and limitations on the issuance of different unit classes.	Compliance Officer / MLRO Asset Manager	- Ensure subscribed units are transferred to the unitholder upon execution of the subscription request. - Clearly outline all unitholder rights (voting, etc.) within the Terms and Conditions. - Limit unitholder liability to their investment amount. - If issuing multiple unit classes: - Ensure equal rights and treatment within each class.	Upon occurrence – whenever Submitting a new fund request	

				- Maintain consistency in investment strategies and goals across all classes within the same fund. - Avoid granting rights to one class that could prejudice another class.		
27	**84**	Private Real Estate Fund Board Article outlines the composition, responsibilities, and eligibility requirements for the board of a private real estate fund.	Compliance Officer / MLRO Asset Manager	key actions a fund manager should take to monitor and comply with Article 84 regarding the private real estate fund board: <u>Board Appointment and Removal:</u> **Appoint a fund board:** Establish a board for the real estate fund with at least 3 directors, including at least 2 independent directors (or one-third of the total, whichever is greater). Removal process: Respect any special fund resolution requesting the removal of a board member and take appropriate action. Board Member Eligibility and Conduct: **Eligibility checks:** Ensure each board member meets the criteria, including not being bankrupt, having no relevant criminal record, and possessing necessary experience and expertise. **Conflict of interest disclosures:** Implement procedures for directors to disclose any direct or indirect interests that could influence their voting or decision-making. Replacement procedures: If a board member loses eligibility, promptly replace them with someone who meets the requirements. Information Sharing and Support:	Upon occurrence – whenever Submitting a new fund request	

				Provide fund information: Regularly share all necessary information about the private real estate fund with the board members to enable them to perform their duties effectively. **Responsive to requests**: Be prepared to provide any additional information or documentation requested by the board to help them fulfil their functions.		
28	**85**	**Responsibilities of the Members of the Private Fund's Board** Article details the extensive responsibilities of the board, including approving contracts, managing conflicts of interest, overseeing compliance, and acting in the best interests of unitholders. **Board Responsibilities:** - Approve major contracts (real estate, custody, marketing, valuation, engineering). - Appoint the fund manager's nominated auditor. - Manage conflicts of interest disclosed by the fund manager. - Conduct bi-annual reviews with the compliance officer on regulatory adherence. - Approve fund terms and conditions and amendments. - Oversee the fund manager's fulfilment of obligations to unitholders. - Ensure material information disclosure to unitholders and stakeholders. - Uphold a fiduciary duty to unitholders (good faith, best interests, reasonable care).	AMD& Compliance	**Mitigations:** - regularly reviewing board meeting minutes, resolutions, and reports mentioned in Article 85. - Implementing a system for documenting and managing conflicts of interest disclosures. - Conducting periodic internal audits to assess compliance with Article 85 and the fund's terms and conditions. - Seeking legal advice when necessary to ensure interpretation and application of Article 85 are accurate.	• Twice a year: Meet with the fund's compliance officer or to review compliance.	

		- Maintain detailed board meeting minutes. - Review reports on service quality from key providers and ensure alignment with unitholder interests. - Evaluate the fund manager's risk management processes. - Review reports on complaints and ensure appropriate resolution for unitholders.				
29	**86**	General Rules and Restrictions Article defines investment restrictions for the fund, outlines disclosure requirements for the fund manager, and requires adherence to the Terms and Conditions and offering documents.	Compliance Officer / MLRO Asset Manager	Compliance Mitigations: - Clearly define permitted investments, investment objectives, policies, and restrictions within the Terms and Conditions and offering documents. - Ensure all fund management activities comply with the defined investment strategy and limitations. - Disclose all payments and expenses associated with the fund within the Terms and Conditions.	Upon occurrence – whenever Submitting a new fund request	
30	**87**	Private Fund Documentations Article requires submitting all fund documentation to the Authority and notifying the Authority and unitholders of any changes to the documentation.	Compliance Officer / MLRO Asset management Department	Compliance Mitigations: - Submit all fund documentation to the Authority, including the required disclaimer. - Develop a process for notifying the Authority and unitholders of any changes to fund documentation, as outlined in the Terms and Conditions.	Upon occurrence – whenever Submitting a new fund request	
31	**88**	Securities Advertisements and Promotional Materials Article restricts advertising of private funds to those eligible for private placement and requires adherence to relevant regulations.	Compliance Officer / MLRO Asset managem	Compliance Mitigations: - Ensure all advertising materials are targeted solely to eligible investors as defined in Article 80. - Develop and adhere to advertising policies that comply with the Capital Market Institutions	Upon release of any prepared securities advertisement.	

			ent Departme nt	Regulations and the Securities Business Regulations.		
32	89	Financial Statement Auditing Requirements Article mandates an audit for private funds by a registered and independent auditor.	Asset managem ent Departme nt Fund - BOD	Appointing an Auditor: - Fund managers must appoint a qualified auditor as soon as the private fund is established. - This audit can be conducted as early as possible or at the end of the first full calendar year after the fund's establishment. Auditor Qualifications: **Registered with (CMA):** - They must be officially registered as an auditor of entities under the CMA's supervision. **Independent:** - They must comply with the independence standards defined in the Certified Public Accountants Regulations. - This ensures they offer unbiased and objective audits. **Monitoring Actions:** - Maintaining documentation of the **auditor appointment** process and qualifications. - Scheduling audits according to the required timeframe. Reviewing audit reports to ensure they comply with relevant regulations and standards.	Upon occurrence – whenever Submitting a new fund request	
33	**90**	Valuation Article outlines requirements for valuing fund assets, pricing units, and obtaining valuations for real estate assets.	Operation Asset managem ent	Valuation and Dealing Policy: - The fund operator must have a clear, documented policy for valuing the fund's assets and pricing and dealing in its units. **Transparency**:	ongoing	

			Department	- This policy must be disclosed in the fund's terms and conditions and annual reports, along with the pricing method for unit issuance, transfer, and redemption. Amendment Notification: Any changes to the valuation, pricing, and dealing policy must be notified to unit holders **within 5 days.** Real Estate Specifics: Real Estate Valuation: For private real estate funds, at least two independent, accredited valuers must be consulted before buying or selling any property. Valuer Qualifications **Independent**: - Have no conflicts of interest with related parties. **Accredited**: - Hold the Saudi Authority for Accredited Valuers fellowship. Valuation Report Age: The valuers' reports must be no more than 3 months old at the time of the real estate transaction. **Meet all necessary licensing and approval requirements. **Monitoring Actions:** Policy review: - Regularly review the valuation, pricing, and dealing policy for clarity and compliance. Documentation: - Maintain records of policy disclosures, amendment notifications, and valuer reports. Independent verification: - Consider periodic valuations by non-appointed valuers for greater transparency.		

				- Developer and engineering office oversight: Monitor their activities and ensure compliance with approvals and licenses.		
34	**91**	Private Fund's - Meetings of Unitholders Article defines how unitholder meetings are conducted, including requirements for calling meetings, notifying unitholders, and handling the agenda. **Fund Manager Responsibilities:** fund's terms and Conditions must include unitholder meetings Arrange unitholder meetings upon request from: • Unitholders collectively owning at least 25% of the fund's value. • The custodian. **Meeting Procedures:** The fund manager sets the meeting agenda, quorum, and voting requirements, but unitholders can propose agenda items. Meeting notices must be sent to all unitholders and the authority at least 10 days before the meeting. **CMA Involvement:** CMA can request unitholder meetings and must be notified of all meeting resolutions. **Post-Meeting Actions:** If meeting decisions require changes to the fund's terms, the fund manager must update them accordingly.	AMD & Compliance	- **Meeting notification:** - sending written notices to all unitholders and the custodian, adhering to the following timelines: - Minimum 10 days' prior notice and maximum 21 days' prior notice for initial meeting invitations. - Same 10-21 day notification window for any amendments to the agenda during the notification period. - The notice must include the date, location, time, agenda, proposed resolutions, and contact information for further inquiries. - A copy of the meeting notice should be sent to the Capital Market Authority (CMA) simultaneously. - consider both: - Fund manager proposed items. - Unitholder requests (if holding at least 10% of the units).	Upon occurrence	

35	**92**	**Consent of Unitholders to Changes** Article outlines situations requiring unitholder consent for changes to a private fund. It defines the approval process and notification requirements.	AMD & Compliance	- Obtain unitholder consent (ordinary resolution) for specific changes, including: - **Significant changes** to purpose, nature, or class of the fund. - Changes impacting risk levels. - Changes causing a material increase in payments from closed-ended fund assets. - Changes **negatively affecting unitholder** rights in a closed-ended fund. - Changes to the due or maturity date of the fund. - Any other changes mandated by the Authority. - Obtain unitholder approval (special resolution) for changes to the maturity date of a closed-ended fund. - List all changes in the private fund reports. - Notify the Authority and unitholders of changes 10 days before the effective date. - Allow unitholders of open-ended funds to redeem units before changes take effect without redemption fees.	Upon occurrence	
36	**93**	Reporting to Unitholders 1.Fund Annual Report and Financials: Article 93 mandates that unitholders receive the annual report, including audited financial statements, within 90 days of the fiscal year's end.	AMD & Compliance Operations Department	**Annual reports** - Prepare Annual report (including audited financials) following Annex 3 requirements. - Provide **annual reports to unitholders** free of charge upon request within 90 days of the reporting period as specified in the Terms and Conditions. **Interim reports** - Prepare interim reports for real estate funds every 6 months following Annex 3 requirements. - Make interim reports available to unitholders within 35 days of the reporting period as specified in the T&C.	Annual reports : within 90 business days from the end of the period Interim reports within 35 business days from the end of the period	

				- Provide interim reports to unitholders free of charge upon request.		
37	**94**	Reporting to the Authority Article outlines reporting requirements to the Authority for annual reports and subscription/redemption information.	AMD & Compliance	Provide the authority with annual reports (including audited financials) within 5 days upon CMA request. Submit information on subscriptions or redemptions of units to the Authority within 10 days of CMA request.	Within 5 days upon CMA request. Within 10 days upon CMA request.	
38	**95**	Notification Relating to the Substantial Holdings in Shares or Convertible Debt Instruments Article mandates notifying the Exchange of significant holdings in shares or convertible debt instruments by the fund.	AMD & Compliance	Notify the Exchange within 3 trading days of acquiring or having an interest of 5% or more in an issuer's voting shares or convertible debt instruments. Include a list of any persons with an interest in the holdings. Notify the Exchange within 3 trading days of any changes to the aforementioned list of persons. Consider holdings of controlled companies and those acting in concert with the fund as part of the total holding calculation. The notification must include details on ownership, process, and any financing received for acquiring the holdings.	Unlikely - upon occurrence	
39	**96**	**Restriction on Secondary Market Activity** **Article restricts the resale of units in a private fund to a limited set of investors.**	**AMD & Compliance**	**Clearly outline the transfer restrictions in the Terms and Conditions of the fund.** **Implement a process to verify the eligibility of potential secondary market buyers before allowing a transfer. This may involve:** **Confirming the buyer falls under one of the allowed categories (existing unitholders, institutional investors, qualified clients).**	**Unlikely - upon occurrence**	

				Verifying the purchase amount does not exceed 200,000 Saudi Riyals (or equivalent). **Maintain records of all unit transfers to demonstrate compliance.**		

3. Instructions for Shariah Governance in Capital Market Institutions.

Art. No.		Article Requirement	Responsibility	Monitoring or Reporting	Frequency	Status
1. General Provisions						
1	1	Establishes Shariah governance rules for Capital Market Institutions (CMIs) offering Shariah-compliant products/services (wholly or partially).	Corporate Secretary or Legal Department.	**Mitigations:** Tam Capital should be aware that while most of the instructions are guidelines, specific paragraphs are mandatory. **Compliance Responsibilities:** Tam Capital must comply with the mandatory paragraphs (2 & 7 of Article 3 and 6 of Article 8) and consider the remaining instructions as best practices for Shariah compliance.	Periodically	
Board of Directors' Responsibilities						
2	**3 (2)**	**<u>Paragraph 2:</u>** - Develop and approve a Shariah Governance Framework. - Framework itself isn't explicitly mandated for public reporting, but transparency is encouraged.	Corporate Secretary or Legal Department.	**Mitigations:** Tam Capital board should develop and approve a Shariah Governance Framework outlining policies and procedures for ensuring Shariah compliance in its Shariah-compliant products and services. **Compliance Responsibilities:** The board is ultimately responsible for Shariah governance, but they can delegate framework development to a qualified party	Periodically	
3	**3 (7)**	**<u>Paragraph 7:</u>** The board must approve the **Annual Shariah Committee report** and disclose it publicly (independently or within the board's report).	BOD	**Mitigations**: Ensure the annual report is clear, concise, and accessible to the public. **Compliance Responsibilities:** The board is responsible for public disclosure of the Shariah Committee's report.	the Annual Shariah Committee report Annually	

Article 8: Shariah Committee Responsibilities						
4	**8 (6)**	- The Shariah Committee must prepare an annual report on Shariah compliance for the board's approval. - **This report should detail:** - The extent of Shariah compliance in Tam Capital's Shariah-compliant products and services. - The Shariah standards used by the committee in decision-making.	Shariah Committee / Corporate Secretary or Legal Departmen t.	**Mitigations:** The Shariah Committee should ensure their report is comprehensive and transparent. **Compliance Responsibilities**: The Shariah Committee is responsible for preparing and submitting the annual report to the board.	Annually	

4. Prudential Rules

Art. No.		Article Requirement	Responsibility	Monitoring or Reporting	Frequency	Status
EXPOSURE CLASSES AND RISK WEIGHTS						
1	**29**	**Exposures to Investment Funds** - Listed Investment Funds (e.g., REITs, ETFs, CEIFs): Require a 150% risk weight. - **Non-listed Open-Ended Investment Funds**: Require a 150% risk weight, unless the institution opts to use one of the approaches outlined in Articles 30 or 31 of the rules.	Finance	- Risk Weight Assignment: Ensure accurate and timely assignment of risk weights to all investment fund exposures based on the fund's classification. - Data Collection and Maintenance: Establish procedures for collecting and maintaining accurate and up-to-date information on the classification of investment funds. - Risk Assessment: Regularly assess the risk profile of investment fund exposures and implement appropriate risk mitigation strategies.	Ongoing process as part of regular exposure monitoring and classification.	
CONCENTRATION RISKS						
2	**106**	**Article 106: Excess Exposures** **Excess Exposure:**	Finance	- Implement a process to regularly calculate concentration risk and identify potential excess exposures.	Immediate written notification	

		- Excess exposures are those exceeding 25% of Tier 1 capital to a single counterparty or group. **Permitted Excess Exposures:** - Excess exposures are allowed in non-trading and trading activities if exempted under Article 107 or if capital requirements in Article 111 are met.		- Establish a system to monitor excess exposures and generate reports for management and regulatory submission. - Develop procedures for timely notification of non-exempted excess exposures to the Authority. - Maintain adequate documentation of excess exposure calculations, monitoring, and notifications.	Within 10 days after the end of each month CMA Portal is required.	
3	**107**	**Article 107: Exempted Exposures** **Exemption from Concentration Risk Limit:** - Certain exposures are exempt from the 25% concentration risk limit. **Exempted Exposures:** - Include government and SAMA exposures, foreign exchange settlement exposures, securities/commodities settlement exposures, underwriting exposures, cash deposits with local banks, capital base deductions, and QCCP clearing exposures.	Finance	- dentification of Exempted Exposures: Clearly define and document exempted exposures. - Documentation: Maintain supporting documentation for the classification of exposures as exempted.	Ongoing process as part of regular exposure monitoring and classification.	
EXPENDITURE-BASED CAPITAL REQUIREMENT						
4	**112 E**	TC must recalculate their adjusted annual expenditure and expenditure-based capital requirement if there's a material change leading to a 50% or more increase in expected adjusted expenditure during the current financial year. A written notification of the recalculation must be submitted to the	Finance	- monitoring expenditure and identifying material changes. - recalculating adjusted annual expenditure and expenditure-based capital requirement. - submitting a written notification to the Authority.	Immediately	

		Authority Immediately following the recalculation.				
REPORTING						
5	**115**	**<u>Reporting Obligations</u>** Objective: Ensure **TC** complies with all reporting requirements to the Authority.	- Compliance Officer oversees reporting processes. - Management ensures adherence to reporting requirements.	- Maintain clear understanding of reporting requirements from the Capital Market Institutions Regulations and these Rules. - Gather information from both the CMI and the financial group (if applicable). - Maintain and preserve all relevant financial and non-financial records for the required period. - Report any deviations from these Rules and the rectification plan to the Authority Immediately.	Immediately As required by CMA or upon identifying deviations.	
6	**116**	**Capital Adequacy Model** Submit the capital adequacy model **(CAM)** to the Authority for regulatory monitoring of the CMI's financials. CAM annual reporting must reflect the financial statement data already submitted to the CMA. Two Report 1. CAM periodic reporting (within ten days after the end of each month) 2. CMA Annual Report (within three months after its financial year end)	Finance department prepares the CAM report. Compliance Officer submits the CAM report to the Authority.	- Utilize the capital adequacy model template provided by the Authority. - Submit the CAM report containing balance sheet, income statement, and risk calculations.	Monthly Periodic Reporting: Within 10 days after the end of each month. Annual Reporting: Within 3 months after the financial year-end (reflecting the financial statement data already	

		Must be sent to: 1. CMA-Compliance@cma.org.sa 2. prudential@cma.org.sa CMA Portal is required.			submitted to the CMA.). Days: Working days Mind Official vacations dates	
7	**117**	**Audited Financial Statements** **Submit Annually audited financial statements to the Authority for transparency and regulatory review.** **financial statements on an annual basis are sent To:** **1.CMA-Compliance@cma.org.sa** **2. prudential@cma.org.sa**	**Finance** **External auditors** **and** **Compliance**	- **Prepare financial statements following (SOCPA) standards or internationally accepted standards approved by the Authority.** - **Engage an audit firm registered with the Authority to conduct the annual audit.** 1. **Finance department prepares financial statements.** 2. **Management approves financial statements.** 3. **External auditors conduct the audit and issue an audit opinion.** 4. **Compliance Officer submits the audited financial statements to the Authority.**	**Within 3 months after the CMI's financial year-end.**	

5. Rules On the Offer of Securities and Continuing Obligations

Private Placement Requirements Obligations under the Arranging Activities.

No.	Article Requirement	Responsibility	Monitoring or Reporting	Frequency / Timeline	Status
Article					
10.	Article: 10: Private Placement Requirements Conducting private placements in accordance with regulations set forth in Article 10 of the Rules.	Compliance Officer / MLRO	- (CMI) licenced for arranging activities. - Submit pre-offer notification and required documents to the Authority (at least 10 days before offer). - Monitor offering documents for material changes and notify the Authority immediately. - Pre-offer notification (Annex 2 or 3) - Offeror declaration (Annex 4 or 4(a)) - CMI declaration (Annex 5) - Offering documents - Post-offer list of investors and total proceeds (within 10 days) - Notification of failed offer (within 10 days, if applicable) - Details of debt program issuances (within 10 days of each issuance) - Deposit of Riyal-denominated debt instruments (within 10 days) - for specific issuers - Conversion registration application (for issuers with listed shares offering convertible debt) - For debt issuance programs: Details of total proceeds and issuance terms for each completed issuance (within 10 days)	- Pre-offer notification: 10 days before offer - Material change notification: Immediately - Post-offer reports: 10 days after offer completion or failed attempt - Debt program details: 10 days after each issuance - Instrument deposit: 10 days after offer completion - Conversion registration application: As per Authority requirements	

			- For issuers depositing instruments: Deposit request by CMI within 10 days (for Riyal-denominated debt)	- Details of debt program issuances: 10 days after each issuance.	
11	Article 11: Responsibilities and Obligations of the Capital Market Institution A Capital Market Institution (CMI) arranging a private placement must ensure compliance with relevant regulations and fulfil specific obligations. - Ensure offeror fulfils pre-offer notification and document submission (Article 10(a)). - Track post-offer reports (investor list, proceeds, etc.) submitted by offeror (Article 10(e) & (f)). - Collect and submit details of debt program issuances (total proceeds, terms) within 10 days (Article 10(g)). - Facilitate deposit request for Riyal-denominated debt instruments (if applicable) within 10 days (Article 10(h)).	Compliance Private Placement Legal	- Review private placement engagement contracts for completeness and compliance. - Sample review of pre-offer notifications and offering documents. - Periodic review of CMI internal controls for private placements. - Track deadlines for offeror submissions and ensure timely completion. - Conduct internal audits to assess CMI compliance with regulations.	Ongoing	
12	Article 12: Information to Investors and Private Placement Advertisements The offeror (company issuing securities) is responsible for ensuring investors receive sufficient and accurate information for informed investment decisions in a private placement.	Compliance Officer / MLRO Legal	- Develop clear and comprehensive offering documents that meet regulatory requirements. - Conduct investor suitability assessments to ensure offerings match investor risk profiles. - Train personnel involved in marketing and investor communication on compliance. - Implement a **review process for marketing materials and advertisements**.	- Information disclosure should occur throughout the investor interaction process (ongoing).	

			- Provide complete, clear, correct, and non-misleading information to investors (Article 12(a)). - **Include a prominent statement in offering documents as per Annex 6 (or Annex 6(a) for special purpose entities) (Article 12(b)).** -		
13	**An offeror in a private placement generally does not have continuing obligations to inform the Authority of post-offering developments, with some exceptions.**	**Compliance Officer / MLRO Legal**	- **Establish internal procedures for identifying relevant material developments.** - **Consider the potential impact of material developments on investor relations and market confidence**	ongoing	

6. CMA Portal Notification Reporting Obligations.

No.	Article Requirement	Responsibility	Monitoring or Reporting	Frequency / Timeline	Status
	Reporting Clauses of Annex (3.2)				
I.	- Name change (including registered name for companies - Change in any business name - Change in head office address or service address	Compliance Officer / MLRO	- Maintain a central record of all official names, business names, and addresses - Implement a change management process requiring notification to the Authority well before implementation - Assign clear ownership for submitting notification to the Authority.	At least 30 days before the change CMA Portal is required.	
II.	- Change in material information of a registered person (name, reputation, character) - Formation, acquisition, disposal, or dissolution of a subsidiary (company) - Acquisition or disposal of controlling interest in another entity (non-company) - Changes in branch offices, insurance arrangements, foreign operations, clearing/settlement arrangements	Legal Compliance Officer / MLRO	- Monitor reports from registered persons regarding changes. - Track formation/dissolution of subsidiaries and controlled entities. - Regularly review and update records on branch offices, insurance, foreign operations, and clearing/settlement arrangements.	Within 7 days of occurrence CMA Portal is required.	
III.	- Winding up petition, insolvency event, or regulatory sanctions - Conviction for financial crimes or tax evasion - Change in partnership structure - Loss/revocation of authorization to conduct business	HR Compliance Officer / MLRO	- Conduct regular reviews of business activities and operations to identify potential notification triggers - Assess the materiality of any identified changes - Document all material changes and communication with the Authority.	Immediately upon occurrence CMA Portal is required.	

	- Withdrawal/rejection of exchange or clearing house membership - Appointment of inspectors for investigation - Significant misconduct by CMI or registered persons - Procedural error harming client interests - Changes affecting fitness and propriety of CMI or registered persons - Other material matters affecting CMI or registered person supervision - Material changes in employee/prospective employee registration information				
IV.	- Any material event or change in business or operations	Compliance	Document all material changes and communication with the Authority.	Immediately in writing CMA Portal is required.	
V.	- Proposed reorganization, business expansion, or other material change - Significant system/control failures - Events impacting capital adequacy (dividends, share repurchases, significant losses) Check related article 106: Excess Exposures (4. Prudential Rules).	Operation Dep. IT. Finance And Compliance Officer / MLRO	- Track upcoming planned changes requiring notification - Monitor system/control performance and investigate any significant failures. - Regularly review capital adequacy metrics and identify potential notification triggers.	Prior written notice for planned events Written notice upon awareness for unplanned events CMA Portal is required.	
VI.	Resignation or dismissal of CEO/Managing Member, CFO, Board Member/Partner, Senior Executives/Department Managers (Securities Related), Compliance Officer, or MLRO	HR-Compliance Officer / MLRO	Maintain an updated record of key personnel and their contact information	Within 2 days of the event CMA Portal is required.	

VII.	entering into, or materially changing, outsourcing arrangement of a function of a capital market institution of sufficient importance that failure of the function would jeopardise the capital market institution's ability to comply with these Regulations	Compliance Officer / MLRO	Assess the risks of third parties before engaging with them. Obtain approval from the compliance officer and the CEO before entering into any outsourcing arrangements.	At least 30 days before the occurrence CMA Portal is required.	
	Other Notification Reporting Obligations				
1	Temporarily cease to carry out securities business Article (12) of the Capital Market Institutions Regulations	CEO - Compliance Officer / MLRO	- Track upcoming planned changes requiring notification	Before 30 Days CMA Portal is required.	
2	Any changes in **TC** close links . Article (14) of the Capital Market Institutions Regulations	Legal Compliance Officer / MLRO	- Establish a Close Link Register: - Monitor for Changes: Regularly review the close link register and conduct due diligence to identify any changes in ownership, control, or influence that could create new close links.	Before 30 Days CMA Portal is required.	
3	General assembly Meetings and Minutes of Meeting Circular number (05157/6) dated on 10/11/1433H corresponding to 26/09/2012G	Legal Compliance Officer / MLRO	- Calendar and Reminders: Maintain a calendar of upcoming general assembly meetings and set reminders to ensure timely notification and submission of minutes.	Within 10 Days CMA Portal is required.	
	Nafith , Makken ,Deceased				
1	CMI must release/finalize all below tasks reserved on CMA portal. - Sanctions - Blocking /unblocking orders - Investment holding details requests - Deceased lists	Compliance Officer / MLRO	- Co will check all CMA requests sanctions daily on the portal - All requests are checked against **TC** existing clients - Daily submissions are saved in a designated file	Daily CMA Portal is required.	

2	**Investor database management**	Compliance Officer / MLRO	Add an investor detail to the system: Investor type: Individual, institution/company The name/ID Number/date of birth /Relationship start date	Upon customer onboarding CMA Portal is required.	
	E- services				
1	- **Private Investment Fund Details** License: MIOF - Managing Investments and Operating Funds Falls under the scope of CMA's Regulation - Investment Fund Regulation	Asset Management Compliance Officer / MLRO	Private investment fund (see part 5: private funds for details)	Upon occurrence or amendments CMA Portal is required.	
	Disclosures System				
1	Investment fund managers in Saudi Arabia are required to submit: 1. Monthly report covers data on public investment funds, 2. Quarterly report covers data on all types of investment funds (public, private, and foreign) and unit distributors. Both reports must be submitted in Excel format and within a maximum of 8 business days from the end of the relevant period.	AMD & Compliance	- Ensure the report prepared by Operation and AMD accurately - Complete all report sections and verify the accuracy of data and fund ID numbers. - CO to Submit the completed report via email. - Develop a calendar and reminders - Maintain records of submissions: Keep copies of submitted reports and any related documentation.	Quarterly reports are submitted upon CMA portal task assignment CMA Portal is required.	
	Investor Protection Services				
1	CMIR -Article 63: Resolution of Complaints **& Circular no. 23/13/6/3**	**Compliance**	- Recordkeeping: Maintain a centralized system to document and archive all correspondence (complaints, requests, responses) related to the CMA portal submissions.	Upon occurrence **CMA Portal is required.**	

	CMI's receives, investigate, and respond to complaints /requests submitted by the public (Investors) through CMA portal system. These complaints and requests fall within the scope of Capital Market Law and its Implementing Regulations. CMI's must respond to complaints and requests within the timeframe set by the CMA portal system.		- Log: Maintain a log that records all cases received through the CMA portal with date, case ID, brief nature of complaint/request, and assigned personnel. - Designated Files: Create well-organized designated files for each received case. contain all relevant documents related to the case, investigation notes, communication records, and the final response.		

7. Other CMA Obligations

Circulars

Circular No.	Article Requirement	Responsibility	Monitoring or Reporting	Frequency	Status
15/25/6/1	**Information that a licensed person must disclose on its website**				
1.	Audited annual financial statements	Compliance / Finance	- Ensuring the accuracy and timeliness of the financial statements. The IT department is responsible for uploading the statements to the website in a user-friendly format.	Within 3 months after the TC financial year-end.	
2.	Information that must be disclosed in accordance with the requirements of Pillar 3 of the Financial Adequacy Rules for the licensed person to carry out dealing, management, or custody activities	Compliance / Finance	N/A	N/A	

3.	Board of Directors' report for the licensed person to carry out dealing, management, or custody activities	Compliance / Legal	- Board of Directors' report details the institution's operations, financial performance, and any relevant business factors for the last fiscal year. It should include the information mandated by Annex 6.1 of the regulations. (Related Article: 53-E) - Note: The CMA issued a circular requiring companies to improve their compliance with disclosure rules in these reports. A checklist is available to assist companies (starting with 2023 reports). - Co department ensures the report adheres to disclosure requirements. The IT department is responsible for uploading the report to the website. - Develop a standardized format for the Board of Directors' report to ensure consistency.	Annually within three months of the end of the financial year BOD Annual report (including audited financials	
4.	Date of obtaining the license and date of commencement of business	Compliance / Marketing team	- The overall responsibility for website disclosure compliance rests with the institution's senior management. However, specific tasks can be delegated to relevant departments, such as finance, compliance, and IT. - Mitigations: - Develop and implement a website content management policy that outlines disclosure requirements and update procedures. - Conduct periodic internal audits to ensure website content is accurate and up-to-date. - Train relevant personnel on website disclosure requirements and update procedures.	Upon occurrence /Changes	
5.	Securities activities that the licensed person is authorized to carry out				
6.	Paid-up capital				
7.	Commercial registration data				
8.	Products and services offered				
15/25/6/1	**General Administration for Supervision of Financial Market Institutions**				
9.	- List of direct controllers			Biannual review and update as needed	
10.	- Organizational structure				

11.	- Senior executives and their CVs	Compliance and IT department. Legal develops and maintains the structure; IT department uploads and displays it on the website.	- Provide a clear visual representation of the institution's organizational structure, including key departments and reporting lines. - Develop a standardized format for displaying the organizational structure. - Establish a process for updating the structure on the website when changes occur. - Develop a website content management policy outlining disclosure requirements and update procedures. (One-time task) - Conduct internal audits (e.g., quarterly) to ensure website content accuracy. - Train relevant personnel on website disclosure (e.g., annually). - Regularly review the website (e.g., monthly) for completeness and accessibility. - Conduct periodic testing of website functionality (e.g., downloading contact information) - frequency depends on complexity of updates.		
12.	- List of financial markets and exchanges with which it deals				
13.	- Head office address and head office contact details				
14.	- Branch addresses and branch contact details				
15.	- Customer complaints department contact details (including the complaint submission mechanism)				
16.	- Names of members of the Board of Directors and their CVs or Names of members of the Board of Directors and their CVs				
17.	-				

8. Anti money laundering Law

Saudi Arabia Royal Decree No. M/20 dated 05/02/1439-Cabinet Resolution No. 80 dated 04/02/1439

Art. No		Article Requirement	Responsibility	Monitoring or Reporting	Frequency	Status
1	5	CMI need to identify assess and document the AML risk in writing and update regularly and keep the	Operations Department	Client Information: Identify customer type (individual, company, etc.) and risk profile.	Upon customer onboarding, and Periodically	

		info. Assessment should be on Customer, Countries, Products- new, services- new and transactions and based on assessment shall implement controls, Measures shall be enhanced according to high risk level. in case failure the CMI will face risks associated to article 25.	and Compliance	Check the customer against high-risk factors like PEP status, country of origin, or occupation. Assess AML risk based on the customer's country of residence. Identify and verify the beneficial owner(s) of the customer's funds. <u>Transaction and Activity Risk:</u> Evaluate the AML risk associated with the customer's products, services, and transactions. <u>3rd Party Risk:</u> Assess the AML risk associated with how the customer accesses CMI services (distribution channels). Evaluate the AML risk of any business partners involved in the customer's transactions. <u>Origin of Funds:</u> Assess the AML risk associated with the country where the customer's funds originate from. <u>Documentation & Updates:</u> Document all risk assessments using a provided form and keep them for at least ten years. Update risk assessments regularly based on changes in the customer, new information, or the CMI's risk profile. <u>Controls & Reporting:</u> Implement controls (like enhanced due diligence) based on the risk assessment. Report on AML risk assessments and mitigation activities to regulators if requested	thereafter as needed based on risk updates or changes in customer circumstances.	

2	6	AML regulations/ Article 6, Company shall not keep anonymous accounts	Relationship Manager Compliance	- Onboarding Requirements: Establish clear onboarding procedures to ensure proper customer identification and verification (CDD/KYC). - Onboarding Requirements Checklist: The Compliance department will create a checklist outlining all necessary documents and steps for onboarding new clients. - Onboarded Clients Log: The Compliance department will maintain a log of all onboarded clients, likely including details like name, ID verification status, and risk assessment. - Sign-off by Compliance Manager: All onboarding documents must be reviewed and signed off by the Compliance Manager before finalizing the customer onboarding process.	Upon customer onboarding, and Periodically thereafter as needed based on risk updates or changes in customer circumstances.	
3	7	CMI shall apply CDD and identify required measures before opening new account, before transaction, wire transfer, or suspicion of ML, and has doubt about received data or Client verification and EDD when high risk clients	Operations Department and Compliance	**Risk-Based Approach** Tailors CDD based on customer risk level. Minimum CDD Applies to all customers and includes: dentification & Verification: Verifying name, address, etc. against reliable sources. **World-Check Tool:** Screening for sanctions matches and PEPs. **Regulatory Compliance:** Following KYC regulations from the supervisory authority. **Enhanced Due Diligence (EDD):** - Applies to high-risk customers and may include: - Source of funds verification. /Beneficial owner verification /Independent third-party verification. **Transaction Monitoring:** Monitors transactions for suspicious activity based on risk profiles and historical behaviour. **Data Verification:**	Upon customer onboarding, and Periodically thereafter as needed based on risk updates or changes in customer circumstances.	

				Investigates any doubts about received data or client verification.		
4	7	AML regulations/ Article 7 Identify the customer and verify the customer's identity and beneficial owners requirements and obtains all necessary information as required under Article 7 of the Law and this Implementing Regulation; Identify, assess, document, and update AML risks associated with customers, countries, products, services, transactions, and distribution channels.	Relationship Manager Operations Department Compliance	**Customer Information Collection & Verification:** Collect and verify customer identification documents (passport, ID card, etc.). Verify customer details (name, address, date of birth, nationality) against reliable sources. **Beneficial Ownership Confirmation:** Identify and verify the beneficial owner(s) of the customer's funds. This may involve additional documentation and verification procedures. **Source of Funds & Independent Verification:** Understand the source of the customer's funds and wealth. Conduct independent verification (if necessary) to confirm the legitimacy of the source of funds. **Suspicious Activity Monitoring:** Continuously monitor customer activity for suspicious patterns that could indicate money laundering or terrorist financing. Utilize a transaction monitoring system to identify red flags based on risk profiles and historical behaviour. **Account Opening Checklist:** Utilize a standardized account opening checklist outlining all required CDD procedures. The CD Officer (Compliance Officer) must review and sign off on the completed checklist for every new onboarding.	Upon customer onboarding, and Periodically thereafter as needed based on risk updates or changes in customer circumstances.	

5	6	No Anonymous Accounts Prohibit anonymous accounts.	Relationship Manager Operations Department Compliance	Established onboarding requirements. Onboarding requirements checklist created by Compliance. Onboarded clients log maintained by Compliance. All onboarding documents signed off by the Compliance Manager. **Activities:** Verify customer identity and details during onboarding.	Upon customer onboarding, and Periodically thereafter as needed based on risk updates or changes in customer circumstances.	
6	7	CDD Implement a robust Customer Due Diligence (CDD) process.	Compliance	CDD World-Check tool for sanctions and PEP screening. Risk-based approach tailoring CDD based on risk level. Identification and verification of customer identity and beneficial ownership. Regulatory compliance with KYC requirements. **Activities:** Minimum CDD for all customers (ID verification, World-Check screening, KYC compliance). Enhanced Due Diligence (EDD) for high-risk customers (source of funds verification, independent verification). Transaction monitoring for suspicious activity. Investigate doubts about received data or client verification.	Upon customer onboarding, and Periodically thereafter as needed based on risk updates or changes in customer circumstances.	
7	7	Ongoing Due Diligence Continuously monitor customer relationships and update information as needed.	Compliance	Ongoing CDD World-Check screening. Risk-based approach for ongoing monitoring intensity. Continuous monitoring of customer information and updates.	Upon customer onboarding, and Periodically thereafter as needed based on risk updates	

				Regulatory compliance with ongoing KYC requirements. **Activities:** Periodic reviews of customer information and business activities. Update customer information as needed.	or changes in customer circumstances.	
8	7	Understanding Business Relationships Understand the nature and purpose of business relationships.	Relationship Manager Compliance	- Client face-to-face interviews. - Review of relevant documentation (contracts, invoices, bank statements). - World-Check and adverse media screening. - Periodic reviews of the business relationship. **Activities:** - Gather information through interviews and document review. - Assess the customer's business and risk profile. - Conduct periodic reviews to maintain understanding.	Upon customer onboarding, and Periodically thereafter as needed based on risk updates or changes in customer circumstances.	
9	8	Politically Exposed Persons (PEPs) Identify and manage risks associated with PEPs.	Relationship Manager Compliance	- World-Check tool for ongoing PEP screening. - KYC questionnaire completed and acknowledged by the client. **Activities:** - Screen customers against PEP lists using World-Check. - Obtain KYC information from the PEP and verify their identity.	Upon customer onboarding, and Periodically thereafter as needed based on risk updates or changes in customer circumstances.	
10	9	Cross-Border Correspondent Relationships Mitigate risks associated with correspondent relationships.	Relationship Manager - Operations Department – Compliance	- Gather information about the correspondent institution (business nature, reputation, regulatory actions). - Assess the correspondent's AML controls. - Obtain senior management approval for new relationships. - Clearly define AML responsibilities of each institution. - Ensure the correspondent does not allow shell banks.	Upon customer onboarding, and Periodically thereafter as needed based on risk updates or changes in customer circumstances.	

11	10	Wire Transfers Mitigate risks associated with wire transfers.	Relationship Manager Operations Department Compliance	- KYC/CDD procedures (verify customer identity). - Transaction monitoring for suspicious activity. - Sanctions screening. - Risk-based approach for monitoring intensity. - Customer education and awareness about wire transfer risks. - Regulatory compliance with AML regulations for wire transfers. - Utilize technology and data analytics for enhanced risk detection. - Implement internal controls and audits.	Regularly At onboarding and potentially more frequently based on individual risk.	
12	11	Enhanced Due Diligence for High-Risk Jurisdictions Implement stricter CDD measures for customers and entities from high-risk jurisdictions to mitigate AML/CFT risks.	Compliance	**Stricter Customer Verification:** Require additional documentation, enhanced background checks, and independent verification of identity and beneficial ownership. **Risk-Based Approach:** Tailor CDD intensity based on individual customer risk profiles within high-risk jurisdictions. **Sanctions Screening:** Screen customers against sanctions lists. **Enhanced Transaction Monitoring:** Closely monitor transactions for suspicious activity, considering risk profiles and geographical origin. **Geographical Risk Assessment:** Regularly assess and update the risk profiles of high-risk jurisdictions. **Source of Funds Verification:** Conduct thorough verification of customer funds' origin. **Enhanced Reporting:** Establish clear procedures for reporting suspicious activity involving high-risk jurisdictions. **Continuous Review:** Regularly review and update CDD procedures and risk assessments based on evolving regulations and risk profiles.	Upon customer onboarding, and Periodically thereafter as needed based on risk updates or changes in customer circumstances.	

	12	Record Keeping Maintain comprehensive AML/CFT records for 10 years after account closure to facilitate investigations and regulatory compliance.	IT department maintains data integrity and retrievability. Compliance Officer oversees record-keeping procedures.	**Annual Testing:** Conduct annual tests to ensure data integrity and retrievability. **System Alerts:** Implement alert systems to identify potential record-keeping issues. **Red Flag Reporting:** Report any suspicious transaction red flags identified during record retrieval to the Compliance Officer.	Testing: Annually. Red Flag Reporting: As identified during record retrieval.	
13	14	AML Policies, Procedures, and Internal Controls Implement and maintain a comprehensive AML/CFT program with clear policies, procedures, and internal controls.	Legal and Compliance	**Board-Approved Policies:** Obtain board approval for AML policies and procedures. **Proper Implementation:** Ensure proper implementation and ongoing monitoring of AML policies and procedures. **Regular Updates:** Update AML policies and procedures at least every three years or as needed to reflect regulatory changes and best practices.	Ongoing. Updates: At least every 3 years or as needed due to regulation/practice changes.	
14	15	Suspicious Activity Reporting Ensure timely and accurate reporting of suspicious activity to the relevant authorities.	All employees maintain confidentiality of STRs. Compliance Officer oversees STR reporting and communication.	**Filing SARs:** File Suspicious Activity Reports (SARs) for all suspected money laundering or terrorist financing activities. **SAR Content:** Ensure SARs include detailed information about suspicious transactions, customer details, and supporting documentation. **Recordkeeping:** Maintain records of all SAR filings and related investigations. **Training and Awareness:** Provide comprehensive training to employees on SAR filing procedures, confidentiality, and client communication. **Responsibilities:** All employees are vigilant for suspicious activity.	Immediately upon suspicion.	

				Compliance Officer oversees SAR filing and recordkeeping.		
15	16	Confidentiality of Suspicious Transaction Reports (STRs) Maintain strict confidentiality of STR filings to protect clients and avoid tipping off criminals.	All employees maintain confidentiality of STRs. Compliance Officer oversees STR reporting and communication.	**Confidentiality Acknowledgement:** Obtain written acknowledgments from employees regarding confidentiality of STRs. **Policy Integration:** Integrate STR confidentiality procedures into AML and CDD policies. **Reporting Requirements:** Report STRs to the Board of Directors (BOD) Annually and relevant committees quarterly. **Training and Awareness:** Provide training on STR confidentiality, client communication, and respectful client interactions.	Immediately upon suspicion.	
16	**16**	Compliance with Supervisory Authority Instructions Promptly comply with all instructions, rules, and requests for information from the AML supervisory authority.	Compliance	**Mitigations: (These mitigations largely mirror Article 16 on STR confidentiality)**	Regularly as part of AML awareness programs.	

9. FATCA and CRS Reporting Obligations

Art. No.	Article Requirement	Responsibility	Monitoring or Reporting	Frequency / Timeline	Status

1		***FATCA*** Automatic Exchange of financial accounts held by US persons is exchanged based on the Agreement between the Government of the Kingdom of Saudi Arabia and the Government of the United States of America for the Improvement of International Tax Compliance and the Implementation of the Foreign Accounts Tax Compliance Act (FATCA)	Compliance Officer / MLRO	**Upload the final FATCA report on ZATCA portal by the end of May deadline.** **Recordkeeping**: Maintain all FATCA-related documentation (customer identification records, account data, reports -Submission proof) for the required period saved in a designated folder.	Frequency: Annually Deadline: End of May	
2		***CRS*** Automatic Exchange of financial accounts information base on the Multilateral Competent Authority Agreement on Automatic Exchange of Financial Account Information and the Common Reporting Standard (MCAA/CRS)	Compliance Officer / MLRO	- Identify all financial accounts held by reportable persons (individuals and entities) residing in CRS partner jurisdictions. - Collect necessary tax residence information and other CRS- mandated data from account holders. **Upload the final CRS report to the ZATCA portal by the end of May deadline.** Recordkeeping: Maintain all CRS-related documentation (customer identification records, account data, reports -Submission proof) for the required period saved in a designated folder.	Frequency: Annually Deadline: End of May	
3		***CRS and FATCA annual audit certificates.*** ***"شهادة المراجعة السنوية لمعيار الإبلاغ المشترك وشهادة المراجعة السنوية للفاتكا للفترة المالية"*** TC is required to conduct an annual review and issue a certificate confirming its compliance with (CRS) and (FATCA) for the financial year. To assist institutions: (ZATCA) provides separate online forms in English for the CRS and FATCA annual audit certificates. Institutions must complete and submit these forms by August 1.	Compliance Officer / MLRO	- **FATCA: https://s2c.zatca.gov.sa/h/c4e7fa81** - **https:// s2c.zatca.gov.sa/h/48d9c09c CRS:** ***"شهادة المراجعة السنوية لمعيار الإبلاغ المشترك وشهادة المراجعة السنوية للفاتكا للفترة المالية"*** **1/January** — Initiating the submission of CRS/ FATCA reports on ZATCA Portal **31/May** — The final deadline for submitting reports through the ZATCA portal.	Annually by August 1st and upon CMA request	

		This requirement is in accordance with Ministerial Resolution No. 131, which implements information exchange agreements for tax purposes.		**1/August**	deadline for receiving the annual CRS/ FATCA Compliance Certificate		

10. Companies Law – MOC Regulations

Companies Law - Ministry of Commerce Regulations

Art. No.		Article Requirement	Responsibility	Monitoring or Reporting	Frequency	Status
Chapter 3: Management of a Company - Article 27: Conflict of Interest, Competition, and Exploitation of Assets						
1	**27**	Article 27: **Conflict of Interest**, Competition, and Exploitation of Assets 1. A company's manager or board member may not have any direct or indirect interest in the transactions conducted and contracts concluded for the company's account without the authorization of the partners, general assembly, or shareholders or their designees. 2. A company's manager or board member may not engage in any business that may compete with the company or with any of its activities without the authorization of the partners, general assembly, or shareholders or their designees. 3. A company's manager or board member may not exploit the company's assets or information or any	All personnel BOD Legal HR	**Mitigations** - **Clear Conflict of Interest Policy:** Establish a comprehensive conflict of interest policy that outlines the company's expectations for employee and director behaviour. - **Regular Training:** Provide ongoing training on conflict-of-interest recognition and avoidance. - **Disclosure Requirements:** Require managers and board members to disclose any potential conflicts of interest before engaging in transactions or making decisions. - **Independent Review:** Have an independent committee or individual review and approve any transactions or decisions involving potential conflicts of interest. - **Prohibition of Certain Transactions:** Prohibit certain types of transactions, such as self-dealing or transactions with related parties, unless they are approved by the board or shareholders. **Declarations and Acknowledgments** - **Annual Conflict of Interest Declarations:** Require managers and board members to annually declare any potential conflicts of interest.	Annually Annual Conflict of Interest Declarations: Require all Personnel /managers and board members to annually declare any potential conflicts of interest. Acknowledgment of Conflict-of-Interest Policy: Have managers and board members sign an acknowledgment	

		investment opportunity offered to the company or to him in his capacity as a manager or board member for his benefit whether directly or indirectly. 4. The Regulations shall specify the rules necessary for the implementation of paragraphs (1), (2), and (3) of this Article. 5. Paragraph (1) of this Article shall not apply to the following: a) Transactions conducted and contracts concluded pursuant to public tenders. b) Transactions and contracts that aim to meet personal needs if they are carried out under the same terms and conditions the company applies to all persons and contractors it deals with and are within the company's regular activities. c) Any other transactions or contracts specified by the Regulations which are not inconsistent with the company's interest. 6. If the company's manager or a board member violates paragraph (1) of this Article, the company may petition the competent judicial authority to invalidate the contract and order him to return any profit or benefits realized from such violation.		- **Acknowledgment of Conflict-of-Interest Policy:** Have managers and board members sign an acknowledgment of their understanding of the company's conflict of interest policy. **<u>Reports</u>** - Regular Board Reports: Require managers to report to the board on a regular basis, disclosing any potential conflicts of interest. - Conflict of Interest Reports: Maintain a record of any reported conflicts of interest and the actions taken to address them.	of their understanding of the company's conflict of interest policy.	

		7. If the company's manager or a board member violates paragraph (2) of this Article, the company may petition the competent judicial authority for appropriate compensation				

Art. No.		Article Requirement	Responsibility	Monitoring or Reporting	Frequency
Part 4: Joint-Stock Company - Chapter 1: General Provisions					
2	66	During the incorporation process or capital increase, review the presence and content of the accredited valuer's report on the fair value of in-kind contributions.	Corporate Secretary/ Legal Department.	**Action:** If the report is missing or incomplete, request its preparation by an accredited valuer. Ensure providers of in-kind contributions abstain from voting on the report's approval. If the report's value is reduced by the assembly, confirm written approval from the contributors. **Documentation:** Maintain a record of the accredited valuer's report and any decisions regarding its value.	For each incorporation or capital increase involving in-kind contributions.
3	67 & 68	Board of Directors - Nomination & Election Review the company's articles of association regarding the method of board formation and election.	Corporate Secretary or Legal Department.	Ensure the articles of association comply with the Law's provisions for board composition (minimum 3 members, natural persons), election by the general assembly, and voting methods as specified in the regulations. **Action** Verify that nominations are submitted according to regulations and articles of association. Ensure voting procedures adhere to the Law and regulations. Confirm the term of the board (maximum 4 years, re-election allowed) and any provisions for membership expiration or termination as outlined in the articles of association.	Annually, or upon any changes to the articles of association. For each ordinary general assembly

				Documentation: Maintain minutes of the general assembly meeting documenting nominations, voting results, and board composition for the new term.	
4	69	Board of Directors - Expiration & Resignation Track the expiration date of the current board term.	Corporate Secretary or Legal Department.	**Board Term:** Track expiration date and proactively remind the board to call a general assembly for new board elections well in advance. Maintain records of board term dates and general assembly meeting documentation for new board elections. **Resignations:** Review submitted resignation notices for compliance with legal requirements (written notice). Take specific actions depending on the resigning member: - Chairman resignation: Ensure a new board is elected within the legal timeframe. - Other member resignation (if quorum not affected): Board can appoint a temporary replacement until the next general assembly. Both the appointment and next general assembly for a permanent replacement need to be reported within legal timeframes. - Resignations reducing board members below quorum: Remaining board members must convene a general assembly within 60 days to elect new members.	Ongoing
5	70	Termination of Membership of Absentees •Monitoring Activity: Track attendance of board members at meetings.	Corporate Secretary or Legal Department.	**Action:** Identify board members who have missed meetings without a valid excuse. If a member misses three consecutive or five non-consecutive meetings within their term, notify the board of directors. **Documentation**: Maintain attendance records for board meetings, including reasons for absences if provided.	After each board meeting.
6	71	Board member disclosure of interest in transactions and contracts.	Corporate Secretary	- Review Board meeting minutes for any disclosures of interest related to transactions or contracts.	Ongoing, at all Board meetings

			or Legal Department.	- Verify that Board members with disclosed interests did not vote on related decisions. - Check for notifications to the general assembly regarding transactions with Board member interests. - Confirm that special reports from the company auditor accompany such notifications (if applicable).	
7	72	Restrictions on loan granting and guarantees to Board members and their relatives.	Corporate Secretary or Legal Department.	- Review Board meeting minutes, loan agreements, and financial records to ensure: - No loans or guarantees are granted to Board members, their relatives, or shareholders (except for approved employee incentive programs). - Loans or guarantees to Board members comply with exceptions for banks/financing companies and approved employee programs. **Additional Considerations:** - Develop a clear policy outlining conflict of interest procedures, including disclosure requirements and recusal rules. - Conduct training for Board members on their obligations regarding disclosures and conflicts of interest. - Establish a mechanism for employees to report suspected violations of these articles.	Ongoing
8	73	Shareholder monitoring of the Board of Directors. Maintain a communication channel for shareholders to raise concerns about the Board of Directors. This could include a dedicated email address, hotline, or designated personnel.	Corporate Secretary or Legal Department.	- Review shareholder feedback and ensure concerns are appropriately addressed through established channels (e.g., Board meetings, general assembly).	Ongoing
9	74	Board authority for loans, asset sales/pledges, and debt forgiveness.	Corporate Secretary	**Review Board meeting minutes to ensure:** - Board approvals are obtained for loans, asset sales/pledges, or debt forgiveness.	As needed, following Board meetings.

			or Legal Department.	- Board powers haven't been restricted by the articles of association or general assembly decisions.	
10	75	General assembly approval for significant asset sales.	Corporate Secretary or Legal Department.	**Review Board meeting minutes and asset sale details to ensure:** - General assembly approval obtained for sales exceeding 50% of total asset value (calculated within the previous 12 months). - Asset values are accurately calculated for exceeding the 50% threshold.	Annually, following the fiscal year.
11	76	Board member remuneration and disclosure.	Corporate Secretary or Legal Department.	**Review company's articles of association and Board reports to ensure:** • Articles of association determine Board member remuneration structure and limitations (if any). • Board report to the annual general assembly details Board member compensation, including: - Remuneration, meeting allowances, expense allowances, and other benefits. - Compensation received for other company roles (employee, executive, services). • Board meeting attendance statistics.	Ongoing
12	77 & 78	Review board meeting minutes and relevant documentation Periodically. - Conduct a more in-depth review Annually.	Corporate Secretary or Legal Department.	**Ensure the Board adheres to the following:** **Powers of Board:** - Board actions do not exceed its authority or violate provisions in the Law or company's articles of association. - Delegation of specific tasks to Board members or others occurs within the Board's authority. **Board Composition and Powers:** - Review Board composition (chairman, managing director/CEO, vice-chairman, secretary) aligns with appointments documented in minutes of the first Board meeting.	Ongoing

				- Verify the company's articles of association specify powers and duties of these positions, or that the Board has established such definitions. **Removal of Appointees:** - If applicable, ensure Board removals from designated positions (chairman, vice-chairman, etc.) follow proper procedures documented in meeting minutes, without affecting Board membership status.	

13	79	- Chairman of the board handles legal matters and represents the company before courts, tribunals, and others.
		- The company's articles can designate the managing director or CEO for this role instead.
		- Delegation of these representative powers is allowed with a written decision, unless the company's articles say otherwise.
		- If there's a vice-chairman, they take over the chairman's duties when the chairman is unavailable.
			(BOD) Corporate Secretary or Legal Department.	• Clear Documentation: Maintain clear and up-to-date records of any decisions regarding company representation. This should include:
				  ○ Designation of the chairman, managing director/CEO, or any designee authorized to represent the company (as per Article 79).
				  ○ Any written delegations of representative powers granted by the chairman (as per Article 79.2).
				• Communication: Ensure the board of directors and senior management are aware of these representatives and their designated roles.
				• Review: Periodically review and update these records as needed (e.g., changes in personnel, board structure).
					Ongoing - Review Board meeting minutes and relevant documentation Periodically.

14	80	**Meetings of Board of Directors:** Board of Directors meetings - frequency, quorum, voting, and location.	Corporate Secretary or Legal Department.	**Review Board meeting minutes and company records to ensure:** - Board meetings are held **at least four times a year**, as stipulated in articles of association (or as amended by Competent Authority). - Meetings are called by the chairman or upon written request from a Board member. - Quorum requirement is met (at least half of Board members present, in-person (or virtual) or by proxy, unless articles of association dictate otherwise).	**At least four times a year-** Ongoing

				- Board decisions are passed by majority vote, with chairman holding casting vote in case of ties (unless articles of association state differently). - Meeting locations comply with Board's decisions and legal requirements.	
15	**81**	Proxy attendance and effectiveness of Board decisions.	Corporate Secretary or Legal Department.	**Review company's articles of association and Board meeting minutes to ensure:** - Proxy attendance is not permitted unless explicitly allowed by the articles of association (and with limitations on number of members a single proxy can represent). - Board decisions are clearly documented, and their effectiveness is established (immediate or based on a specific date/condition).	
16	**82**	Urgent matters decided by circulation. Review Board meeting agendas and minutes to identify decisions made by circulation.	Corporate Secretary or Legal Department.	**For decisions made by circulation:** - Verify urgency of the matters addressed. - Confirm if a Board member requested a meeting for deliberation (and how it was addressed). - Ensure majority vote was achieved (or higher requirement specified in articles of association). - Check if decisions were presented and recorded in subsequent Board meeting minutes.	As needed, based on Board meeting agendas and minutes.
17	83	Board meeting minutes - content, recording, and format.	Corporate Secretary or Legal Department.	**Review Board meeting minutes to ensure:** - Minutes record deliberations and decisions accurately and comprehensively. - Minutes are signed by the chairman, attending Board members, and Board secretary. - Minutes are recorded in a dedicated register signed by the chairman and Board secretary. - If technology is used for signatures, recordings, or minute preparation, ensure its proper function and adherence to legal requirements.	After each Board meeting. (Article: 80) (at least four times a year)

18	84	**Shareholder general assembly meetings** - chairing, attendance, and use of technology.	Corporate Secretary or Legal Department.	**Review relevant records to ensure:** - Designated person chairs the meeting according to the hierarchy outlined (chairman, vice-chairman, Board designee, shareholder vote). - Shareholders have the right to attend general assembly meetings, even if the articles of association don't explicitly state it. - Shareholders can delegate attendance to a non-Board member representative. - Technology is used for general assembly meetings in accordance with legal requirements and allows for shareholder participation.	Before each general assembly meeting.
19	85	Powers of the extraordinary general assembly.	Corporate Secretary or Legal Department.	**Review meeting agendas, proposals, and articles of association to ensure:** - Extraordinary general assembly is convened to address matters within its authorized powers (Article 85). - Amendments to articles of association do not: - Deprive shareholders of fundamental rights (listed in Article 85.1.a.i-v). - Increase shareholder financial burden without unanimous approval. - Decisions on company continuation/dissolution or share purchase comply with legal requirements.	Before each extraordinary general assembly meeting and upon any proposals for amendments or company actions.
20	86	Extraordinary general assembly addressing ordinary assembly matters.	(BOD) and Management Corporate Secretary or Legal Department.	- Clear segregation of agenda items for EGA and OGA meetings. - Review of EGA resolutions to ensure they don't stray into OGA-exclusive matters	Ongoing Upon occurrence

21	87	**Powers of the ordinary general assembly.** **OGA** holds power over most company matters except those reserved for EGAs. **Specific OGA powers include:** - Electing/removing board members. - Appointing/removing auditors and determining fees. - Reviewing board reports and financial statements. - Making decisions on dividend distribution, reserves, etc.	(BOD) and Management Corporate Secretary or Legal Department.	- BOD ensures all proposals presented to OGA fall within OGA's powers. - Clear communication of OGA agenda items and voting rights to shareholders. - Minutes accurately reflect discussions and voting outcomes.	Upon occurrence - at least Annually within 6 months of fiscal year-end.
22	88	**Ordinary general assembly meetings –** **frequency, agenda, and annual meeting requirements.** - OGA must meet at least Annually within 6 months of fiscal year-end. - Additional OGAs can be held as needed. **Annual OGA agenda must include:** - **Review of board report, financial statements, and auditor's report (if any)** - Decisions on dividend distribution (if proposed) Extraordinary General Assembly meeting within the 6-month window fulfills OGA meeting requirement if its agenda covers the above items.	Corporate Secretary or Legal Department.	- Calendar tracking to ensure timely **OGA** meetings. - Pre-defined agenda templates for annual OGAs. - Review of EGA agendas to ensure they cover required OGA items if held within the 6-month window.	Ongoing within 6 months of fiscal year-end.
23	89	Amending rights of shareholder classes and special assembly meetings.	Corporate Secretary or Legal Department.	**If a decision involves amending shareholder class rights:** - Ensure a special assembly meeting is convened for the affected class.	As needed, based on proposals affecting

		Review proposals for decisions that affect a specific shareholder class's rights.		- Verify the meeting follows extraordinary general assembly procedures for convening and decision-making. - Confirm only shareholders with voting rights in the affected class participate and approve the amendment.	shareholder class rights
24	90	Convening general assembly meetings - responsibility, timelines, and Competent Authority intervention.	Corporate Secretary or Legal Department.	**Review Board meeting minutes, shareholder requests, and Competent Authority records to ensure:** - Board calls for ordinary general assembly meetings within 30 days of a request from the auditor or 10% or more of voting shareholders. - Auditor is empowered to call a meeting if the Board fails to do so within 30 days of their request. - Requests for meetings specify items requiring shareholder vote. - Competent Authority intervenes and calls for a meeting in cases outlined in Article 90(3) (e.g., missed meeting deadlines, management issues, Board inaction).	Upon occurrence - at least Annually within 6 months of fiscal year-end.
25	91	Calling for assembly meetings - notification procedures, content of invitation, and exceptions.	Corporate Secretary or Legal Department.	**Review meeting notices, agendas, and distribution methods to ensure:** - Notices are sent at least 21 days before the meeting date. - Shareholders are notified via registered mail or approved technology. - Meeting invitation and agenda are sent to the Commercial Register and relevant (CMA) if applicable. - Invitation includes information about attendance rights, proxy designation, discussion rights, voting procedures, meeting details (date, time, venue), meeting type (ordinary/special), and voting items on the agenda. - Unlisted companies with 100% shareholder agreement can hold general assembly meetings without adhering to standard calling procedures for matters within their power.	Before each general assembly meeting. Upon occurrence -at least Annually within 6 months of fiscal year-end.
26	92	Quorum requirements and voting procedures for ordinary general assembly meetings.	Corporate Secretary	- **Review attendance records and voting results of ordinary general assembly meetings to ensure:**	As needed, based on

			or Legal Dep.	- Quorum requirement (minimum 25% of voting shares, or higher as per articles of association, but not exceeding 50%) is met at the first meeting. - If quorum is not met at the first meeting, a second meeting is convened within 30 days under Article 91 procedures. - Second meeting can be held one hour after the first meeting if permitted by articles of association and the initial invitation mentioned the possibility. - Second meeting decisions are valid regardless of the number of voting shares represented. - Ordinary assembly decisions are passed by majority vote of the voting rights represented at the meeting.	attendance records and voting results.
27	93	Quorum requirements and voting procedures for extraordinary general assembly meetings.	Corporate Secretary or Legal Dep.	- Review meeting attendance records, voting results, and decision documentation to ensure: - Quorum requirement (minimum 50% of voting shares, or higher as per articles of association, but not exceeding two-thirds) is met at the first meeting or the second meeting if a quorum is not reached initially. - Decisions requiring a **three-quarter majority vote** (capital changes, company term extension, dissolution, mergers, divisions) have sufficient votes. - Decisions are registered with the Commercial Register within 15 days if required. - Decisions become effective on the issuance date unless otherwise specified.	As needed, following extraordinary general assembly meetings.
28	94	Effectiveness of general assembly decisions.			
29	95	Voting in shareholder assemblies - restrictions on board member voting.	Corporate Secretary or Legal Dep.	- Review meeting minutes and voting records for potential conflicts of interest. - Action: Investigate any instance where a board member votes on a matter with a potential conflict.	Ongoing
30	96	General assembly agenda - shareholder input, combining matters, discussion rights.	Corporate Secretary	- Review meeting agendas to ensure: - Shareholder-requested items are included (if representing at least 10% of voting shares).	Before each general assembly meeting.

			or Legal Dep.	- Agenda items are clear, separate, and do not combine distinct matters. - Transactions/contracts with board member interest are listed individually for voting purposes.	
31	97	Assembly meeting minutes - content and recordkeeping.	Corporate Secretary or Legal Dep.	- Review meeting minutes to ensure they contain the required information (attendance, shares held, voting details, decisions, discussions summarized, signatures).	After each general assembly meeting.
32	98	Single-person joint-stock company - decision-making.	Corporate Secretary or Legal Dep.	- Track company ownership structure. If a single shareholder emerges, ensure decisions are issued in writing and recorded.	Ongoing, especially during transitions in ownership.
33	99	Objection to shareholder assembly decisions - legal challenges.	Corporate Secretary or Legal Dep.	- Monitor legal filings and court decisions related to shareholder challenges of general assembly decisions.	As needed, based on shareholder challenges to decisions.
34	100 - 101	Issuing decisions by circulation - procedures and quorum requirements (unlisted companies).	Corporate Secretary or Legal Dep.	**Review decision proposals and circulation procedures to ensure:** - Articles of association authorize decision by circulation. - All shareholders receive decision proposal, relevant documents, voting instructions, and issuance date. - Quorum requirements for ordinary and extraordinary assembly decisions are met (majority or 75% of voting rights, potentially higher as per articles). - Decisions issued by circulation are recorded and entered in the minutes register.	Before decisions are issued by circulation (unlisted companies).
35	**102**	Request for inspection of the company - shareholder rights and judicial intervention.	**Legal Dep.**	- Track legal filings and court orders related to shareholder requests for company inspection due to suspected misconduct by board members or auditors.	

11. Labour law - Table of violations and corresponding penalties.

Associated article		Requirement	Category (C) Establishment having 10 workers or less	Monitoring or Reporting	Frequency /likelihood frequency	Status
1		Non-compliance with safety and health rules Employers must comply with Ministry-approved safety and health rules to protect workers.	2,500	Implement approved safety and health protocols in the workplace. Train employees on safety procedures (in multiple languages if necessary). Provide appropriate personal protective equipment (PPE). Conduct regular safety inspections.	Ongoing compliance is expected	
2		Non-provision of safety instructions in multiple languages • Requirement: Safety instructions must be provided in at least Arabic and English.	1000	Develop and distribute safety instructions in both languages. Conduct safety training sessions in both languages (or ensure workers understand the provided materials).	Immediate action required to provide safety instructions in both languages.	
3	80	Non-compliance with safety instructions by worker	1,000 Per one worker	Employer: Clearly communicate safety expectations and enforce safety protocols. Worker: Follow established safety procedures and report any unsafe conditions.	Unlikely	
4	125	Employer's failure to take fire prevention precautions • Requirement: Employers must implement necessary fire prevention measures.	1000	Develop and implement a fire safety plan. Conduct fire drills regularly. Provide and maintain fire extinguishers.	Unlikely	

5	**79**	Non-compliance with annual medical examinations • Requirement: Employers must ensure annual medical examinations for workers susceptible to occupational diseases.	1,000 Per one worker	Establish a program for annual medical examinations for high-risk workers. Maintain records of completed examinations.	Unlikely	
6		Making employees work in extreme conditions without precautions • Requirement: Employers must follow Ministerial Resolution guidelines regarding working conditions and necessary precautions during extreme weather events.	3,000 Per one worker	Implement a heat stress prevention plan or similar protocols for extreme weather conditions. Provide adequate hydration and rest breaks. Allow for flexible work arrangements during extreme weather events (if feasible).	Unlikely	
7	**142**	Non-provision of a **First Aid Kit** • Requirement: Employers must provide a First Aid Kit with approved contents.	1000	Obtain and maintain a First Aid Kit with required supplies. Train employees on basic first aid procedures.	Ongoing-	
8	**49** **120**	Non-compliance with other safety and health regulations • Requirement: Employers must comply with all applicable safety and health regulations.	1,000 Per one requirement , that have not been adhered to, maximum 3,000	Stay informed about current safety and health regulations. Conduct regular workplace inspections to identify potential hazards. Implement corrective actions to address any identified hazards.	Unlikely	
9		Non-provision of medical insurance • Requirement: Employers may be required to provide medical insurance for workers and their families (depending on specific regulations).	3,000 Per one worker	Review relevant health insurance regulations and determine employer obligations. If required, implement a health insurance plan for workers and their families (if applicable).	Compliant	
10	**162**	Employment of children under 15 • Requirement: Employing children under 15 is strictly prohibited.	10,000 Per one child	Implement a system to verify the age of all employees. Ensure strict adherence to child labour laws.	Unlikely	
11		Non-compliance with child labor provisions • Requirement: Refer to Part XI of the Labour law for specific regulations on child	5,000 Per one worker	Implement a system to verify the age of all employees. Ensure strict adherence to child labour laws.	Unlikely	

		labor. Generally, employing children under a certain age is prohibited.				
12	**186**	Non-compliance with mining/quarry employment regulations • Requirement: Employers in the mining/quarry industry must comply with Ministry-approved provisions and instructions. **"Minor: Any person of fifteen and below eighteen years of age.**	2,000 Per one worker	Obtain and review Ministry-approved regulations for mining/quarry employment. Implement necessary protocols to ensure employee safety and compliance with regulations.	Unlikely	
13	**113**	Female worker working after childbirth • Requirement: Female workers cannot work for six weeks following childbirth.	10,000 Per one female worker	Implement a system to track maternity leave for female employees. Ensure female workers are aware of their rights to maternity leave.	Unlikely - Compliant	
14		Non-provision of electronic security systems • Requirement: Establishments may be required to have electronic security systems (depending on specific regulations).	2500	Review relevant regulations regarding electronic security systems. If required, install and maintain an electronic security system.	Unlikely - Compliant	
15	**158** **163** **164**	Non-provision of adequate seating for workers • Requirement: Employers must provide enough desks or seats for all workers who require them during working hours.	1,000	Ensure there are enough desks or seats for all workers who need them. Consider ergonomic factors when selecting seating.	Compliant	
16	**101**	Non-provision of prayer, rest, and toilet facilities • Requirement: Employers must provide designated areas for prayer, rest, and toilets for male and female workers.	2,500	Designate appropriate areas for prayer, rest, and toilets. Maintain these areas in a clean and functional condition.	Compliant	
17	**159**	Non-provision of childcare facilities • Requirement: Establishments with more than 50 female workers may be required to	0	Review relevant regulations regarding childcare facilities.	NA	

		provide childcare facilities for children under six, if the number of children reaches 10 or more (depending on specific regulations).		If required, establish or partner with a childcare provider to meet employee needs.		
18		Unprofessional or unclear dress code policy • Requirement: Dress code policies should be professional, appropriate for the workplace, and clearly communicated to employees. Employers should not enforce penalties for minor dress code violations.	1000	Develop a clear and professional dress code policy. Communicate the policy to all employees. Avoid enforcing penalties for minor violations. Focus on ensuring a professional work environment.	Unlikely - Compliant	
19	**163 150**	Non-compliance with night work compensation • Requirement: Employers must comply with regulations regarding compensation and benefits for night work (wages, overtime, etc.).	3,000 Per one worker	Review regulations on night work compensation and benefits. Ensure employees working night shifts receive proper compensation and benefits.	Unlikely - Compliant	
20	**163 150**	Employing excluded cases during night work • Requirement: Certain categories of employees may be exempt from night work regulations (depending on specific regulations). However, employers cannot employ these excluded workers during night shifts. Women may not work during a period of night the duration of which is not less than eleven consecutive hours, except in cases determined pursuant to a decision by the Minister.	5,000 Per one worker	Review regulations regarding night work exemptions. Ensure only eligible employees work during night shifts.	Unlikely - Compliant	
21	**121**	Non-compliance with hazardous work requirements • Requirement: Employers must comply	5,000 Per one worker	Review regulations for hazardous work. Implement safety protocols and provide	Unlikely - NA	

		with specific regulations for employing workers in hazardous or harmful professions.		necessary personal protective equipment (PPE) for workers in hazardous professions.		
22		Non-compliance with workplace requirements • Requirement: Workplaces must comply with the unified organization of work environment (specific details may not be provided here). "PART VIII-PROTECTION AGAINST OCCUPATIONAL HAZARDS, MAJOR INDUSTRIAL ACCIDENTS AND WORK INJURIES,	2,500 Per each requirement	Obtain and review the unified organization of work environment regulations. Ensure the workplace meets all safety, health, and hygiene standards.	NA	
23		Employing Saudi men in restricted female jobs • Requirement: Certain jobs may be restricted to Saudi female workers.	2,500 Per one worker	Review regulations regarding job restrictions for Saudi women. Ensure only eligible workers are employed in restricted positions.	Unlikely - Compliant	
24		Selling or mediating work visas • Requirement: Selling or mediating work visas is illegal.	20,000 Per each visa	Follow proper procedures for obtaining work visas for foreign workers. Avoid any involvement in illegal visa practices.	Unlikely - Compliant	
25	**25** **33** **37** **40**	Employing unauthorized workers • Requirement: Employers must only employ workers with valid work permits or **Ajeer notifications**.	10,000 Per one worker	Verify work authorization for all employees before hiring. Maintain proper documentation for each worker's employment status.	Unlikely - Compliant	
26	**150**	Employee working outside permitted job description • Requirement: Employees must work within the scope of their work permit and employment contract.	2,500 Per one worker	Employer: Clearly define job responsibilities in work permits and contracts. Employee: Ensure they understand and adhere to their job description.	Unlikely - Compliant	

27	**3** **76**	Workplace discrimination • Requirement: Discrimination against employees based on gender, nationality, or other factors is prohibited. Equal pay for equal work is required.	2,500 Per one case	Develop and enforce anti-discrimination policies. Ensure fair and equal treatment for all employees. Implement a system for equal pay based on job responsibilities and performance.	Unlikely - Compliant	
28		Non-cooperation with labour law supervision • Requirement: Employers must cooperate with labour law supervisors. **eleven consecutive hours, except in cases determined pursuant to a decision by the Minister. "**	5,000	Be prepared for inspections from labor authorities. Maintain clear documentation and records related to employee employment status, wages, and working conditions. Cooperate with inquiries and requests from labor supervisors.	Unlikely - Compliant	
29	**121**	Enforcing immoral actions on employees • Requirement: Employers cannot compel employees to perform actions that violate public morals.	5,000	Develop and enforce a code of conduct that prohibits immoral behavior. Create a safe and respectful workplace environment.	Unlikely - Compliant	
30	121	Establishment operating outside permitted activity • Requirement: Establishments must operate within the scope of their Ministry-approved activities.	5,000 Per one worker/ activity	Review the Ministry's regulations regarding permitted activities. Ensure your establishment operates only within its authorized scope.	NA قرار لائحة السلامة والصحة المهنية	
31		Employing worker without occupational license • Requirement: Workers in certain professions may require occupational licenses.	5,000 Per one worker	Verify the licensing requirements for specific professions. Ensure all workers have the necessary licenses before employing them.	Unlikely - Compliant	
32		Non-compliance with Arabic language in work documents • Requirement: Employment contracts, records, worker files, and employer instructions should be in Arabic.	1,000	Develop and use Arabic versions of all employment documents. Consider providing translated versions in other languages for worker understanding, if necessary.	Unlikely - Compliant	

33		Providing false information to the Ministry • Requirement: Employers must provide accurate information to the Ministry to avoid obtaining unauthorized benefits.	10,000 Per one worker, who benefited from the services or per each visa	Maintain accurate and up-to-date records for all employees and business activities. Verify information before submitting it to the Ministry.	Unlikely - Compliant	
34		Non-dissemination of work organization regulations • Requirement: Employers must make work organization regulations known to employees.	1,000	Develop clear and comprehensive work organization regulations in Arabic. Communicate these regulations to all employees through training or written materials.	Unlikely - Compliant	
35		Non-registration or **update of establishment information** • Requirement: Establishments must register and maintain updated information with the Ministry.	5,000	Register your establishment with the competent Ministry office. Update establishment and branch information on Ministry websites as required.	Monitor Closely – upon occurrence	
36		Employing non-Saudis in restricted jobs • Requirement: Certain jobs may be restricted to Saudi workers.	5,000 Per one worker	Review regulations regarding job restrictions for Saudi workers. Ensure only eligible workers are employed in restricted positions.	Unlikely - Compliant	
37		Non-compliance with Saudization quotas • Requirement: Employers may be required to meet specific Saudization quotas (percentage of Saudi workers) in certain professions.	5,000 Per one non-Saudi worker, whose exceeds the decided percentage	Review Ministry resolutions regarding Saudization quotas for your industry. Develop a plan to meet or exceed these quotas, if applicable.	Monitor Closely –- Compliant	

38		Retaining worker's passport or residence permit • Requirement: Employers cannot keep employees' passports or residence permits.	5,000 Per one worker	Implement a policy that prohibits retaining employee passports or residence permits. Return these documents to employees upon request or when employment ends.	Unlikely - Compliant	
39		Charging worker for employer fees • Requirement: Employers cannot charge employees for fees or costs they are responsible for.	10,000 Per one worker	Review regulations regarding employer-borne fees and costs. Ensure you are not charging employees for any expenses you are obligated to cover.	Unlikely - Compliant	
40		False registration of Saudi worker • Requirement: Employers cannot register a Saudi worker without a genuine employment relationship.	5,000 Per one registered worker	Ensure all registered workers have a legitimate employment relationship with your establishment. Avoid any practices that involve falsely registering Saudi workers.	Monitor Closely –- Compliant	
41		Insufficient Saudi worker training • Requirement: Establishments with 50 or more workers must train and qualify at least 12% of their annual	1,000 Per one worker who have not been trained	Develop and implement training programs for Saudi workers. Track participation and ensure you meet the 12% training quota Annually.	NA	
42		False work interruption report • Requirement: Employers must submit accurate work interruption reports against workers (if applicable).	10,000 Per one worker	Ensure work interruption reports are truthful and based on valid reasons. Consult legal counsel if unsure about reporting procedures.	Monitor Closely –- Compliant	
43		Non-compliance with electronic work contracts • Requirement: Employers may be required to use electronic documentation for worker contracts (depending on Ministry regulations).	5,000 Per one worker	Review regulations regarding electronic work contracts. Implement an electronic system or obtain approval for paper contracts if permitted.	Monitor Closely –- Compliant	
44		Forced labor • Requirement: All employment must be voluntary and free from coercion.	10,000 Per one worker	Develop and enforce policies that prohibit forced labor practices. Ensure a work environment free from threats or intimidation.	Unlikely - Compliant	

45		Delayed or withheld wages/documents • Requirement: Employers must pay wages and return employee documents within a specified timeframe (1-2 weeks) upon termination.	5,000 Per one worker	Establish a clear process for final pay and document return upon termination. Ensure timely payments and return of all worker documents.	Monitor Closely –- Compliant	
46		Unlawful fines on workers • Requirement: Employer-imposed fines on workers must be legal and used for worker benefit (through a labor committee).	1,000	Avoid imposing unauthorized fines on workers. If fines are necessary, ensure they comply with regulations and benefit workers (through a labor committee).		
47		Non-payment or late payment of wages • Requirement: Wages must be paid in the official currency on time and into approved bank accounts. Withholding wages without legal justification is prohibited.	2,000 Per one worker	Implement a reliable payroll system for timely wage payments. Ensure wages are paid in the official currency and into approved bank accounts. Avoid withholding wages without a legal basis.	Monitor Closely –- Compliant	
48		Non-compliance with wage protection file submission • Requirement: Employers may be required to submit monthly wage protection files with a specific compliance rate (as per Ministry regulations).	5,000	Review regulations regarding wage protection file submission. Implement a system to track and submit compliant wage protection files on time.	Monitor Closely –- Compliant	
49	**98**	Non-compliance with rest periods • Requirement: Workers are entitled to legally mandated weekly and daily rest periods, and overtime work requires proper assignment. Working hours cannot exceed legal limits. A worker may not actually work for more than eight hours a day if the employer uses the	5,000 Per one worker	Develop and enforce work schedules that comply with legal rest periods and working hour limitations. Obtain proper approvals for any overtime work.	Monitor Closely –- Compliant	

		daily work criterion, or more than forty-eight hours a week if he uses the weekly criterion. During the month of Ramadan, the actual working hours for Muslims shall be reduced to a maximum of six hours a day or thirty-six hours a week.				
50	**164**	Denying legally mandated vacations • Requirement: Employees are entitled to legally prescribed vacations.	5,000 Per one worker	Develop a vacation policy that adheres to legal requirements. Track employee vacation time and ensure they receive their entitled vacation days.	Monitor Closely –- Compliant	
51		Non-dissemination of anti-workplace abuse rules • Requirement: Employers must establish and communicate rules to protect against behavioural abuses in the workplace.	1,000	Develop clear and comprehensive anti-workplace abuse policies. Communicate these policies to all employees through training or written materials. Obtain employee acknowledgement of their understanding and commitment to these policies.	Unlikely - Compliant	
52		Non-compliance with workplace abuse investigation procedures • Requirement: Employers may be required to have a committee investigate cases of workplace abuse, recommend penalties within 5 days, and impose penalties within 30 days of a guilty finding (depending on specific regulations).	5,000 Per one victim	Establish a committee to investigate complaints of workplace abuse. Develop a clear procedure for receiving, investigating, and addressing complaints. Ensure timely investigation, recommendations, and implementation of penalties for substantiated cases.	Unlikely - Compliant	
53		Non-registration of remote workers • Requirement: Employers may be required to register remote workers in a designated portal (depending on specific regulations).	1,000 Per one worker	Review regulations regarding remote worker registration. Implement a system to register all remote workers in the required portal.	Unlikely - Compliant	

54		Non-Saudi worker using Participatory Electronic Platform directly • Requirement: The platform may have restrictions on how non-Saudi workers can access it (details may not be provided here).	20,000 Per one worker	Clarify regulations regarding non-Saudi worker access to the Participatory Electronic Platform. Guide non-Saudi workers on the proper way to utilize the platform (if applicable).	Unlikely - Compliant	
55		Non-compliance with worker verification on Participatory Electronic Platform • Requirement: The platform may have a Ministry-approved verification process to ensure workers are not working under false identities (details may not be provided here).	10,000 Per one worker	Cooperate with the platform's verification process for workers. Ensure workers provide accurate information to facilitate verification.	Unlikely - Compliant	
56		Incomplete data sharing with Ministry • Requirement: Employers and the Participatory Electronic Platform may be required to share complete worker data with the Ministry (depending on specific regulations).	-	Maintain accurate and complete employee data. Cooperate with the platform to ensure complete data sharing with the Ministry.	Unlikely - Compliant	
57		Sharing incomplete worker data with Ministry • Requirement: Employers must share complete worker data with the Ministry through the Participatory Electronic Platform (depending on specific regulations).	50,000 Per one worker	Maintain accurate and complete employee data. Ensure all required worker data is shared with the Ministry through the platform.	Unlikely - Compliant	
58		Operating without a license • Requirement: Establishments must operate within the scope of their licensed activities.		Verify your establishment's licensed activities. Ensure all business activities comply with your licenses.	Unlikely - Compliant	
59		Operating after license suspension/cancellation • Requirement: Businesses cannot operate	10,000 Per each case	Cease all operations if your license is suspended or cancelled. Address any violations that led to the penalty before seeking license reinstatement.	Unlikely - Compliant	

		after a penalty of closure, suspension, or cancellation of their license.				
60		Providing unregistered labor services • Requirement: Employers must register workers in the Ministry's systems.		Implement a system to register all workers in the Ministry's systems before they begin employment.	Unlikely - Compliant	
61		Non-compliance with approved contract forms • Requirement: Businesses must use Ministry-approved contract forms.	10,000 Per each case	Obtain and utilize the Ministry-approved contract forms for all business agreements. Review contracts to ensure they comply with legal requirements.	Unlikely - Compliant	
62		Unauthorized transfer/exchange of labor • Requirement: Transferring or exchanging workers assigned to provide services requires Ministry consent.	N/A	Obtain Ministry approval before transferring or exchanging workers assigned to provide services for another entity.	Unlikely - Compliant	
63		License renewal failure • Requirement: Businesses must renew their licenses before the expiry date.	10,000 Per each case	Establish a system for tracking license expiry dates. Renew licenses well before the expiry date to avoid disruptions.	Unlikely - Compliant	
64	**15**	Unreported change of business headquarters • Requirement: Update the Ministry's system with any changes to your business headquarters location.	N/A	Inform the Ministry of any changes to your business headquarters location. Update your business registration details promptly.	Unlikely - Compliant	
65		Non-compliance with pricing regulations • Requirement: Businesses must follow Ministry-determined prices or prices announced on their approved website.	10,000	Review and understand Ministry-determined pricing for your services. Ensure your website reflects accurate pricing information, if applicable.	Unlikely - Compliant	
66	**40**	Unqualified recruitment office management • Requirement: The owner of the recruitment office must manage it themselves, or designate registered and insured managers.	10,000 Per each case	The owner must directly manage the office or appoint registered and insured managers. Ensure all managers comply with registration and insurance requirements.	Unlikely - Compliant	

		An employer shall be responsible for the cost of preparing the body of a deceased worker and transporting it to the location where the contract was concluded, or where the worker was recruited unless the worker is interred in the Kingdom with the approval of his family. The employer shall be relieved if the General Organization for Social Insurance (GOSI) undertakes the same.				
67		Lack of dedicated customer complaint channel • Requirement: Establish a designated channel for receiving customer complaints.	10,000	Implement a system for receiving and addressing customer complaints (e.g., email address, hotline, complaint box). Clearly communicate the complaint channel to customers.	Unlikely - Compliant	
68		Non-response to Ministry inquiries • Requirement: Businesses must respond promptly to Ministry requests and inquiries.	10,000	Develop a system for tracking and responding to Ministry communications promptly. Designate a responsible person to handle Ministry inquiries.	Unlikely - Compliant	
69		Delayed guarantee refund • Requirement: Refund guarantee amounts within the specified timeframe after receiving notification.	5,000 Per each case	Understand the timeframe for returning guarantee amounts. Establish a system for prompt refund processing upon notification.	Unlikely - Compliant	
70		Non-submission of performance reports • Requirement: Submit performance reports in accordance with Ministry standards.	10,000	Review Ministry guidelines for performance report format and content. Develop a system for timely submission of compliant performance reports.	Unlikely - Compliant	
71		Non-submission of annual performance reports • Requirement: Submit annual reports on operational, technical, and financial performance (as per Ministry guidelines).	N/A	Develop a system to track and collect performance data throughout the year. Prepare and submit annual reports within the timeframe specified by the Ministry.	Unlikely - Compliant	

72		Not informing workers of rights and duties • Requirement: Inform recruited workers about their rights and obligations under the employment contract.	5,000 Per each case	Explain workers' rights and duties clearly before they sign employment contracts. Provide written materials (in the worker's language) outlining these rights and duties.	Unlikely Compliant	-
73		Failure to repatriate workers • Requirement: Repatriate recruited or mediated workers when required by law (e.g., job termination).	25,000	Review regulations regarding worker repatriation requirements. Establish a process for facilitating worker repatriation when necessary	Unlikely Compliant	-
74	172	Substandard worker accommodation • Requirement: Provide worker accommodation that meets Ministry-determined standards (e.g., safety, hygiene). • Responsibility: Recruitment Office (depending on specific regulations)	5,000 Per each case/ visit	Review Ministry regulations for worker accommodation standards. Ensure any provided accommodation meets these standards or assist workers in finding suitable housing.	Unlikely Compliant	-
75		Unauthorized worker transfer • Requirement: Obtain worker's written consent before transferring their services to another employer.	25,000	Obtain written consent from workers before transferring their services. Ensure clear communication about any potential transfer opportunities.	Unlikely Compliant	-
76		Operating without a dedicated location • Requirement: Recruitment offices must operate from a dedicated physical location.	1,000 Per each case and employment contract	Secure a dedicated office space for your recruitment operations. Avoid conducting business solely online if not permitted.	Unlikely Compliant	-
77		Failure to welcome and accommodate recruited workers • Requirement: Welcome and assist recruited workers upon their arrival (e.g., visa processing, airport pickup).	10,000 Per each case	Develop a process for welcoming and assisting recruited workers upon arrival. Ensure clear communication regarding arrival procedures and support.	Unlikely Compliant	-
78		Improper service advertisement • Requirement: Advertise recruitment services in accordance with Ministry regulations.	N/A	Review Ministry regulations for recruitment service advertising. Ensure marketing materials and advertisements comply with these regulations.	Unlikely Compliant	-

79		Non-compliance with website and recordkeeping requirements • Requirement: Create an interactive website with employment contracts and applicant data within 6 months of obtaining a license (as per Ministry specifications).	N/A	Develop and launch an interactive website within the required timeframe. Maintain electronic records of employment contracts, applicant data, and other necessary information as specified by the Ministry.	Unlikely - Compliant	
80		Mediating employment of Saudi workers for non-Saudi jobs • Requirement: Recruitment offices cannot mediate the employment of Saudi workers in jobs typically reserved for non-Saudis.	20,000 Per each case	Review regulations regarding job restrictions for Saudi workers. Ensure recruitment activities comply with these regulations and focus on placing non-Saudis in suitable positions.	Unlikely - Compliant	
81		Unauthorized branch opening • Requirement: Obtain Ministry consent before opening a new company branch in any city.	10,000	Apply for Ministry approval before opening any new company branches.	Unlikely - Compliant	
82		Mediating child employment • Requirement: Recruitment offices cannot mediate the employment of children or minors (as defined by labour law).	10,000 Per each case	Verify the age of all potential workers before mediating employment. Ensure recruitment activities comply with child labour laws.	Unlikely - Compliant	
83		Subletting or assigning licenses • Requirement: Recruitment licenses cannot be sublet, assigned, or transferred to a third party (even for free).	30,000	Understand that the license is specific to your business and cannot be shared.	Unlikely - Compliant	
84		Improper use of license data • Requirement: Use the licensed company data on all publications and official seals.	10,000	Ensure all company publications and seals accurately reflect your licensed business information.	Unlikely - Compliant	
85		Non-compliance with job classification system • Requirement: Use the Saudi classification and description guide for advertised job roles.	25,000	Obtain and utilize the Saudi classification and description guide when advertising job openings.	Unlikely - Compliant	

86		Failure to commence operations • Requirement: Begin operating your recruitment business within the timeframe specified after obtaining a license.	10,000	Develop a plan to launch your recruitment business within the allowed timeframe. If delays are unavoidable, consider requesting an extension from the Ministry (if permitted).	Unlikely - Compliant	
87		Dealing with unlicensed brokers • Requirement: Avoid collaborating with unlicensed recruitment brokers (domestic or international).	10,000 Per each case and employment contract	Verify the licenses and legitimacy of any recruitment partners before collaborating.	Unlikely - Compliant	
88		Non-use of electronic contracting system • Requirement: Use the Ministry-approved electronic system to document recruitment contracts.	10,000 Per each case and employment contract	Familiarize yourself with the Ministry's electronic contracting system. Utilize this system for all recruitment contracts.	Unlikely - Compliant	
89		Recruiting without a foreign company contract • Requirement: Establish a contract with foreign companies sending workers before recruiting their labor.	10,000 Per each case and employment contract	Secure a formal contract with foreign companies before recruiting their workers.	Unlikely - Compliant	
90	**32**	Recruiting Saudis without a license • Requirement: Obtain a license from the Ministry to recruit Saudi workers.	SAR 50,000	Verify licensing requirements for recruiting Saudi workers. Obtain the necessary license if you plan to recruit Saudi nationals.	Unlikely - Compliant	
91	30	Operating without a license • Requirement: All recruitment activities and worker mediation services require a Ministry license.	SAR 25,000 Per each person /at the time of breach	Obtain a recruitment license before starting any recruitment or worker mediation activities.	Unlikely - Compliant	

Appendix 1 – Manual Amendment Form (MAF)

Amendment initiated by	_____	_____	_____	_____
Approved / rejected by (*)	_____	_____	_____	_____
Approved / rejected by (*)	_____	_____	_____	_____
	(Name)	(Signature)	(Department)	(Date)
Section(s) and paragraph(s) proposed to be amended				
Reasons for amendment				
Text of the proposed amendment *(attach separate sheets if required)*				
Reasons for rejection				
Electronic form updated by		Amendments distributed by		